Price Waterhouse Chartered Accountants LLP

Independent Auditor's Report

To the Members of JK Files & Engineering Limited

Report on the Audit of the Standalone Financial Statements

Opinion

1. We have audited the accompanying standalone financial statements of JK Files & Engineering Limited ("the Company"), which comprise the standalone Balance Sheet as at March 31, 2025, and the standalone Statement of Profit and Loss (including Other Comprehensive Income), the standalone Statement of Changes in Equity and the standalone Statement of Cash Flows for the year then ended, and notes to the standalone financial statements, including material accounting policy information and other explanatory information.

2. In our opinion and to the best of our information and according to the explanations given to us, the aforesaid standalone financial statements give the information required by the Companies Act, 2013 ("the Act") in the manner so required and give a true and fair view in conformity with the accounting principles generally accepted in India, of the state of affairs of the Company as at March 31, 2025, and total comprehensive income (comprising of profit and other comprehensive income), changes in equity and its cash flows for the year then ended.

Basis for Opinion

3. We conducted our audit in accordance with the Standards on Auditing (SAs) specified under Section 143(10) of the Act. Our responsibilities under those Standards are further described in the "Auditor's Responsibilities for the Audit of the Financial Statements" section of our report. We are independent of the Company in accordance with the Code of Ethics issued by the Institute of Chartered Accountants of India together with the ethical requirements that are relevant to our audit of the financial statements under the provisions of the Act and the Rules thereunder, and we have fulfilled our other ethical responsibilities in accordance with these requirements and the Code of Ethics. We believe that the audit evidence we have obtained is sufficient and appropriate to provide a basis for our opinion.

Other Information

4. The Company's Board of Directors is responsible for the other information. The other information comprises the information included in the Director's report, but does not include the standalone financial statements and our auditor's report thereon.

   Our opinion on the standalone financial statements does not cover the other information and we do not express any form of assurance conclusion thereon.

   In connection with our audit of the standalone financial statements, our responsibility is to read the other information and, in doing so, consider whether the other information is materially inconsistent with the standalone financial statements or our knowledge obtained in the audit or otherwise appears to be materially misstated. If, based on the work we have performed, we conclude that there is a material misstatement of this other information, we are required to report that fact. We have nothing to report in this regard.

Price Waterhouse Chartered Accountants LLP
LLPIN AAC - 5001
Chartered Accountants
FRN 012754N/N500018
Mumbai

Price Waterhouse Chartered Accountants LLP, 252, Veer Savarkar Marg, Shivaji Park, Dadar (West), Mumbai - 400 028
T: +91 (22) 66697510

Registered office and Head office: 11 A, Vishnu Digambar Marg, Suchitra Bhawan, Gate No 2, New Delhi 110002

Price Waterhouse (a Partnership Firm) converted into Price Waterhouse Chartered Accountants LLP (a Limited Liability Partnership with LLP identity no: LLPIN AAC-5001) with effect from July 25, 2014. Post its conversion to Price Waterhouse Chartered Accountants LLP, its ICAI registration number is 012754N/N500018 (ICAI registration number before conversion was 012754N)

Responsibilities of management and those charged with governance for the financial statements

5. The Company's Board of Directors is responsible for the matters stated in Section 134(5) of the Act with respect to the preparation of these standalone financial statements that give a true and fair view of the financial position, financial performance, changes in equity and cash flows of the Company in accordance with the accounting principles generally accepted in India, including the Indian Accounting Standards specified under Section 133 of the Act. This responsibility also includes maintenance of adequate accounting records in accordance with the provisions of the Act for safeguarding of the assets of the Company and for preventing and detecting frauds and other irregularities; selection and application of appropriate accounting policies; making judgments and estimates that are reasonable and prudent; and design, implementation and maintenance of adequate internal financial controls, that were operating effectively for ensuring the accuracy and completeness of the accounting records, relevant to the preparation and presentation of the financial statements that give a true and fair view and are free from material misstatement, whether due to fraud or error.

6. In preparing the standalone financial statements, Board of Directors is responsible for assessing the Company's ability to continue as a going concern, disclosing, as applicable, matters related to going concern and using the going concern basis of accounting unless Board of Directors either intends to liquidate the Company or to cease operations, or has no realistic alternative but to do so.

7. Those Board of Directors are also responsible for overseeing the Company's financial reporting process.

Auditor's responsibilities for the audit of the financial statements

8. Our objectives are to obtain reasonable assurance about whether the financial statements as a whole are free from material misstatement, whether due to fraud or error, and to issue an auditor's report that includes our opinion. Reasonable assurance is a high level of assurance but is not a guarantee that an audit conducted in accordance with SAs will always detect a material misstatement when it exists. Misstatements can arise from fraud or error and are considered material if, individually or in the aggregate, they could reasonably be expected to influence the economic decisions of users taken on the basis of these standalone financial statements.

9. As part of an audit in accordance with SAs, we exercise professional judgement and maintain professional scepticism throughout the audit. We also:

   - Identify and assess the risks of material misstatement of the financial statements, whether due to fraud or error, design and perform audit procedures responsive to those risks, and obtain audit evidence that is sufficient and appropriate to provide a basis for our opinion. The risk of not detecting a material misstatement resulting from fraud is higher than for one resulting from error, as fraud may involve collusion, forgery, intentional omissions, misrepresentations, or the override of internal control.

   - Obtain an understanding of internal control relevant to the audit in order to design audit procedures that are appropriate in the circumstances. Under Section 143(3)(i) of the Act, we are also responsible for expressing our opinion on whether the Company has adequate internal financial controls with reference to financial statements in place and the operating effectiveness of such controls.



- Evaluate the appropriateness of accounting policies used and the reasonableness of accounting estimates and related disclosures made by management.

- Conclude on the appropriateness of management's use of the going concern basis of accounting and, based on the audit evidence obtained, whether a material uncertainty exists related to events or conditions that may cast significant doubt on the Company's ability to continue as a going concern. If we conclude that a material uncertainty exists, we are required to draw attention in our auditor's report to the related disclosures in the financial statements or, if such disclosures are inadequate, to modify our opinion. Our conclusions are based on the audit evidence obtained up to the date of our auditor's report. However, future events or conditions may cause the Company to cease to continue as a going concern.

- Evaluate the overall presentation, structure and content of the financial statements, including the disclosures, and whether the financial statements represent the underlying transactions and events in a manner that achieves fair presentation.

10. We communicate with those charged with governance regarding, among other matters, the planned scope and timing of the audit and significant audit findings, including any significant deficiencies in internal control that we identify during our audit.

11. We also provide those charged with governance with a statement that we have complied with relevant ethical requirements regarding independence, and to communicate with them all relationships and other matters that may reasonably be thought to bear on our independence, and where applicable, related safeguards.

Report on other legal and regulatory requirements

12. As required by the Companies (Auditor's Report) Order, 2020 ("the Order"), issued by the Central Government of India in terms of sub-section (11) of Section 143 of the Act, we give in the Annexure B a statement on the matters specified in paragraphs 3 and 4 of the Order, to the extent applicable.

13. As required by Section 143(3) of the Act, we report that:

(a) We have sought and obtained all the information and explanations which to the best of our knowledge and belief were necessary for the purposes of our audit.

(b) In our opinion, proper books of account as required by law relating to preparation of the aforesaid standalone financial statements have been kept by the Company so far as it appears from our examination of those books, except for the matters stated in paragraph 13(h)(vi) below on reporting under Rule 11(g) of the Companies (Audit and Auditors) Rules, 2014 (as amended). ("the Rules"). Further, in the absence of sufficient appropriate audit evidence, we are unable to verify whether the backup of books of account and other books and papers maintained in electronic mode has been maintained on a daily basis on servers physically located in India during the year.

(c) The standalone Balance Sheet, the standalone Statement of Profit and Loss (including other comprehensive income), the standalone Statement of Changes in Equity and the standalone Statement of Cash Flows dealt with by this Report are in agreement with the books of account.

(d) In our opinion, the aforesaid standalone financial statements comply with the Indian Accounting Standards specified under Section 133 of the Act.



(e) On the basis of the written representations received from the directors as on March 31, 2025, taken on record by the Board of Directors, none of the directors is disqualified as on March 31, 2025, from being appointed as a director in terms of Section 164(2) of the Act.

(f) With respect to the maintenance of accounts and other matters connected therewith, reference is made to our remarks in paragraph 13(b) above on reporting under Section 143(3)(b) and paragraph 13(h)(vi) below on reporting under Rule 11(g) of the Companies (Audit and Auditors) Rules, 2014 (as amended).

(g) With respect to the adequacy of the internal financial controls with reference to financial statements of the Company and the operating effectiveness of such controls, refer to our separate Report in "Annexure A".

(h) With respect to the other matters to be included in the Auditor's Report in accordance with Rule 11 of the Companies (Audit and Auditors) Rules, 2014 (as amended), in our opinion and to the best of our information and according to the explanations given to us:

i. The Company has disclosed the impact of pending litigations on its financial position in its financial statements – Refer Note 36 to the standalone financial statements.

ii. The Company did not have any long-term contracts, including derivative contracts for which there were any material foreseeable losses.

iii. There were no amounts which were required to be transferred to the Investor Education and Protection Fund by the Company during the year ended March 31, 2025.

iv. (a) The management has represented that, to the best of its knowledge and belief as disclosed in Note 46 to the standalone financial statements, no funds have been advanced or loaned or invested (either from borrowed funds or share premium or any other sources or kind of funds) by the Company to or in any other persons or entities, including foreign entities ("Intermediaries"), with the understanding, whether recorded in writing or otherwise, that the Intermediary shall, whether directly or indirectly, lend or invest in other persons or entities identified in any manner whatsoever by or on behalf of the Company ("Ultimate Beneficiaries") or provide any guarantee, security or the like on behalf of the Ultimate Beneficiaries;

(b) The management has represented that, to the best of its knowledge and belief, other than as disclosed in the Note 46 to the standalone financial statements, no funds have been received by the Company from any persons or entities, including foreign entities ("Funding Parties"), with the understanding, whether recorded in writing or otherwise, that the Company shall, whether directly or indirectly, lend or invest in other persons or entities identified in any manner whatsoever by or on behalf of the Funding Party ("Ultimate Beneficiaries") or provide any guarantee, security or the like on behalf of the Ultimate Beneficiaries; and

(c) Based on such audit procedures that we considered reasonable and appropriate in the circumstances, nothing has come to our notice that has caused us to believe that the representations under sub-clause (a) and (b) contain any material misstatement.

v. The Company has not declared or paid any dividend during the year.

Price Waterhouse Chartered Accountants LLP
LLPIN AAC - 5001
Chartered Accountants
FRN 012754N/N500016
Mumbai

vi. Based on our examination, which included test checks, the Company has used an accounting software for maintaining its books of account which has a feature of recording audit trail (edit log) facility and that has operated throughout the year for all relevant transactions recorded in the software except that the audit trail was not maintained in case for certain type of transactions and for direct database changes. Further, during the course of performing our procedures, we did not notice any instance of audit trail feature being tampered with in cases where the audit trail feature was enabled. Further, the audit trail has been preserved by the Company as per the statutory requirements for record retention.

14. The Company has paid/ provided for managerial remuneration in accordance with the requisite approvals mandated by the provisions of Section 197 read with Schedule V to the Act.

For Price Waterhouse Chartered Accountants LLP
Firm Registration Number: 012754N/N500016



Arunkumar Ramdas
Partner
Membership Number: 112433
UDIN: 25112433BMOUXQ3804

Place: Mumbai
Date: May 07, 2025

Price Waterhouse Chartered Accountants LLP

Annexure A to Independent Auditor's Report
Referred to in paragraph 13(g) of the Independent Auditor's Report of even date to the members of JK Files & Engineering Limited on the standalone financial statements as of and for the year ended March 31, 2025

Report on the Internal Financial Controls with reference to Financial Statements under clause (i) of sub-section 3 of Section 143 of the Act

1. We have audited the internal financial controls with reference to financial statements of JK Files & Engineering Limited ("the Company") as of March 31, 2025 in conjunction with our audit of the standalone financial statements of the Company for the year ended on that date.

Management's Responsibility for Internal Financial Controls

2. The Company's management is responsible for establishing and maintaining internal financial controls based on the internal control over financial reporting criteria established by the Company considering the essential components of internal control stated in the Guidance Note on Audit of Internal Financial Controls Over Financial Reporting ("the Guidance Note") issued by the Institute of Chartered Accountants of India ("ICAI"). These responsibilities include the design, implementation and maintenance of adequate internal financial controls that were operating effectively for ensuring the orderly and efficient conduct of its business, including adherence to company's policies, the safeguarding of its assets, the prevention and detection of frauds and errors, the accuracy and completeness of the accounting records, and the timely preparation of reliable financial information, as required under the Act.

Auditor's Responsibility

3. Our responsibility is to express an opinion on the Company's internal financial controls with reference to financial statements based on our audit. We conducted our audit in accordance with the Guidance Note and the Standards on Auditing specified under Section 143(10) of the Act to the extent applicable to an audit of internal financial controls, both applicable to an audit of internal financial controls and both issued by the ICAI. Those Standards and the Guidance Note require that we comply with ethical requirements and plan and perform the audit to obtain reasonable assurance about whether adequate internal financial controls with reference to financial statements was established and maintained and if such controls operated effectively in all material respects.

4. Our audit involves performing procedures to obtain audit evidence about the adequacy of the internal financial controls system with reference to financial statements and their operating effectiveness. Our audit of internal financial controls with reference to financial statements included obtaining an understanding of internal financial controls with reference to financial statements, assessing the risk that a material weakness exists, and testing and evaluating the design and operating effectiveness of internal control based on the assessed risk. The procedures selected depend on the auditor's judgement, including the assessment of the risks of material misstatement of the financial statements, whether due to fraud or error.

5. We believe that the audit evidence we have obtained is sufficient and appropriate to provide a basis for our audit opinion on the Company's internal financial controls system with reference to financial statements.

Price Waterhouse Chartered Accountants LLP
LLP IN AAC - 5001
Chartered Accountants
FRN 012754N/N500016
Mumbai

Price Waterhouse Chartered Accountants LLP

Annexure A to Independent Auditor's Report
Referred to in paragraph 13(g) of the Independent Auditor's Report of even date to the members of JK Files & Engineering Limited on the standalone financial statements as of and for the year ended March 31, 2025

Meaning of Internal Financial Controls with reference to financial statements

6. A company's internal financial controls with reference to financial statements is a process designed to provide reasonable assurance regarding the reliability of financial reporting and the preparation of financial statements for external purposes in accordance with generally accepted accounting principles. A company's internal financial controls with reference to financial statements includes those policies and procedures that (1) pertain to the maintenance of records that, in reasonable detail, accurately and fairly reflect the transactions and dispositions of the assets of the company; (2) provide reasonable assurance that transactions are recorded as necessary to permit preparation of financial statements in accordance with generally accepted accounting principles, and that receipts and expenditures of the company are being made only in accordance with authorisations of management and directors of the company; and (3) provide reasonable assurance regarding prevention or timely detection of unauthorised acquisition, use, or disposition of the company's assets that could have a material effect on the financial statements.

Inherent Limitations of Internal Financial Controls with reference to financial statements

7. Because of the inherent limitations of internal financial controls with reference to financial statements, including the possibility of collusion or improper management override of controls, material misstatements due to error or fraud may occur and not be detected. Also, projections of any evaluation of the internal financial controls with reference to financial statements to future periods are subject to the risk that the internal financial controls with reference to financial statements may become inadequate because of changes in conditions, or that the degree of compliance with the policies or procedures may deteriorate.

Opinion

8. In our opinion, the Company has, in all material respects, adequate internal financial controls system with reference to financial statements and such internal financial controls with reference to financial statements were operating effectively as at March 31, 2025, based on the internal control over financial reporting criteria established by the Company considering the essential components of internal control stated in the Guidance Note issued by ICAI.

For Price Waterhouse Chartered Accountants LLP
Firm Registration Number: 012754N/N500016

Arunkumar Ramdas
Partner
Membership Number: 112433
UDIN: 25112433BMOUXQ3804

Place: Mumbai
Date: May 07, 2025

Price Waterhouse Chartered Accountants LLP

Annexure B to Independent Auditors' Report

Referred to in paragraph 12 of the Independent Auditors' Report of even date to the members of JK Files & Engineering Limited on the standalone financial statements as of and for the year ended March 31, 2025

In terms of the information and explanations sought by us and furnished by the Company, and the books of account and records examined by us during the course of our audit, and to the best of our knowledge and belief, we report that:

i. (a) (A) The Company is maintaining proper records showing full particulars, including quantitative details and situation, of Property, Plant and Equipment.

(B) The Company is maintaining proper records showing full particulars of Intangible Assets.

(b) The Property, Plant and Equipment are physically verified by the Management according to a phased programme designed to cover all the items over a period of 2 years which, in our opinion, is reasonable having regard to the size of the Company and the nature of its assets. Pursuant to the programme, a portion of the Property, Plant and Equipment has been physically verified by the Management during the year and no material discrepancies have been noticed on such verification.

(c) The title deeds of all the immovable properties (other than properties where the Company is the lessee and the lease agreements are duly executed in favour of the lessee), as disclosed in Note 2(a) and 2(b) to the standalone financial statements, are held in the name of the Company, except for the following:

Description of property	Gross carrying value (Rs. In lakhs)	Held in the name of	Whether promoter, director or their relative or employee	Period held - indicate range, where appropriate	Reason for not being held in the name of the Company
Leasehold land - Chiplun	61.09	Raymond Limited	Promoter	16 Years	Due to pending registration formalities with MIDC

(d) The Company has not revalued its Property, Plant and Equipment (including Right of Use assets) or Intangible Assets or both during the year. Consequently, the question of our commenting on whether the revaluation is based on the valuation by a Registered Valuer, or specifying the amount of change, if the change is 10% or more in the aggregate of the net carrying value of each class of Property, Plant and Equipment (including Right of Use assets) or Intangible Assets does not arise.

(e) No proceedings have been initiated on or are pending against the Company for holding benami property under the Prohibition of Benami Property Transactions Act, 1988 (as amended in 2016) (formerly the Benami Transactions (Prohibition) Act, 1988 (45 of 1988)) and Rules made thereunder, and therefore the question of our commenting on whether the Company has appropriately disclosed the details in the standalone financial statements does not arise.



Annexure B to Independent Auditors' Report

Referred to in paragraph 12 of the Independent Auditors' Report of even date to the members of JK Files & Engineering Limited on the standalone financial statements as of and for the year ended March 31, 2025

ii. (a) The physical verification of inventory excluding stocks with third parties has been conducted at reasonable intervals by the Management during the year and, in our opinion, the coverage and procedure of such verification by Management is appropriate. In respect of inventory lying with third parties, these have substantially been confirmed by them. The discrepancies noticed on physical verification of inventory as compared to book records were not 10% or more in aggregate for each class of inventory.

(b) During the year, the Company has been sanctioned working capital limits in excess of Rs. 5 crores, in aggregate, from banks on the basis of security of current assets. The Company has filed quarterly returns or statements with such banks, which are in agreement with the unaudited books of account.

iii. (a) The Company has granted unsecured loan to one company and provided guarantee to one financial institution. The Company has not granted any secured loans or advances in the nature of loans or provided any security to any company, firm, Limited Liability Partnership or any other party.

The aggregate amount during the year, and balance outstanding at the balance sheet date with respect to such loans to subsidiaries and guarantee to parties other than subsidiaries, joint ventures and associates are as per the table given below:

Particulars	Guarantees (Rs. In lakhs)	Loans (Rs. In lakhs)
Aggregate amount granted/ provided during the year		
Subsidiaries		2,500.00
Others	52.34	
Balance outstanding as at balance sheet date in respect of the above case		
Subsidiaries		2,500.00
Others	16.39	

(Also, refer Note 6 and 16 to the standalone financial statements)

(b) In respect of the aforesaid loans and guarantees, the terms and conditions under which such loans were granted and guarantees provided are not prejudicial to the Company's interest.

(c) In respect of the loans, the schedule of repayment of principal and payment of interest has been stipulated, and the parties are repaying the principal amounts, as stipulated, and are also regular in payment of interest, as applicable.

(d) In respect of the loans, there is no amount which is overdue for more than ninety days.



Annexure B to Independent Auditors' Report

Referred to in paragraph 12 of the Independent Auditors' Report of even date to the members of JK Files & Engineering Limited on the standalone financial statements as of and for the year ended March 31, 2025

(e) There were no loans which have fallen due during the year and were renewed/extended. Further, no fresh loans were granted to same parties to settle the existing overdue loans.

(f) The loans granted during the year to a related party had stipulated the scheduled repayment of principal and payment of interest and the same were not repayable on demand.

iv. In our opinion, the Company has complied with the provisions of Sections 185 and 186 of the Companies Act, 2013 in respect of the loans and investments made and guarantees provided by it.

v. The Company has not accepted any deposits or amounts which are deemed to be deposits referred in Sections 73, 74, 75 and 76 of the Act and the Rules framed there under.

vi. Pursuant to the rules made by the Central Government of India, the Company is required to maintain cost records as specified under Section 148(1) of the Act in respect of its products. We have broadly reviewed the same and are of the opinion that, prima facie, the prescribed accounts and records have been made and maintained. We have not, however, made a detailed examination of the records with a view to determine whether they are accurate or complete.

vii. (a) In our opinion, the Company is regular in depositing the undisputed statutory dues, including goods and services tax, provident fund, employees' state insurance, income tax, sales tax, service tax, duty of customs, duty of excise, value added tax, cess, and other statutory dues, as applicable, with the appropriate authorities. Also, refer Note 36 to the standalone financial statements regarding management's assessment on certain matters relating to provident fund.

(b) The particulars of statutory dues referred to in sub-clause (a) as at March 31, 2025 which have not been deposited on account of a dispute, are as follows:

Name of the statute	Nature of dues	Amount (Rs. In Lakhs) (net of deposit)	Period to which the amount relates (financial year)	Forum where the dispute is pending
The Central Sales Tax Act, 1956 and West Bengal Value Added Tax Act, 2003	Sales Tax (VAT and CST)	11.49	2013 - 14 and 2014 – 15	Sales Tax Officer
The Central Sales Tax Act,1956 and Madhya Pradesh Value Added Tax Act, 2002	Sales Tax (VAT and CST)	1.77	2015 – 16	Deputy Commissioner
The Central Sales Tax Act,1956 and Madhya Pradesh Value Added Tax Act, 2002	Sales Tax (VAT and CST)	1.91	2017 – 18	Assistant Commissioner
West Bengal Value Added Tax Act, 2003	Sales Tax (VAT)	0.08	2014 – 15	Sr. Joint Commissioner

Price Waterhouse Chartered Accountants LLP
LLP-AAC - 5091
Chartered Accountants
FRN 012754N/N500016
Mumbai

Annexure B to Independent Auditors' Report

Referred to in paragraph 12 of the Independent Auditors' Report of even date to the members of JK Files & Engineering Limited on the standalone financial statements as of and for the year ended March 31, 2025

Name of the statute	Nature of dues	Amount (Rs. In Lakhs) (net of deposit)	Period to which the amount relates (financial year)	Forum where the dispute is pending
Employees' State Insurance Act, 1948	ESIC	1.30	1975 – 76 to 1981 - 82	High Court, Bombay
Employees' State Insurance Act, 1948	ESIC	0.87	February 2002 to March 2003	Learned Employees' Insurance Court, Kolkata
Employees' State Insurance Act, 1948	ESIC	1.38	2005 - 06 and 2006 - 07	Learned Employees' Insurance Court, Kolkata
The Income Tax Act, 1961	Income Tax	34.58	2021 - 22	Commissioner of Income Tax (Appeals)
Goods & service Tax – Gujarat	GST	54.49	2018 – 19	Assistant Commissioner Of State Tax, Gujarat
Goods & service Tax – Gujarat	GST	1,507.57	2019 – 20	Assistant Commissioner Of State Tax, Gujarat
Goods & Service Tax – West Bengal	GST	1.30	2019 – 20	Assistant Commissioner of CGST & Central Excise, Howrah GST Commissionerate

viii. There are no transactions previously unrecorded in the books of account that have been surrendered or disclosed as income during the year in the tax assessments under the Income Tax Act, 1961.

ix. (a) The Company has not defaulted in repayment of loans or other borrowings or in the payment of interest to any lender during the year.

(b) On the basis of our audit procedures, we report that the Company has not been declared Wilful Defaulter by any bank or financial institution or government or any government authority.

(c) In our opinion, the term loans have been applied for the purposes for which they were obtained. (Also, refer Note 15 to the standalone financial statements)

(d) According to the information and explanations given to us, and the procedures performed by us, and on an overall examination of the standalone financial statements of the Company, we report that no funds raised on short-term basis have been utilised for long-term purposes by the Company.



(e) On an overall examination of the standalone financial statements of the Company, we report that the Company has taken funds from the following entity on account of or to meet the obligations of its subsidiary. Further, the Company did not have any associates or joint ventures during the year.

Nature of fund taken	Name of lender	Amount involved (Rs. In lakhs)	Name of the subsidiary	Nature of transaction for which fund utilized
Term Loan from Related Party	Raymond Limited	2,500.00	Ring Plus Aqua Limited	Working Capital requirement

(f) According to the information and explanations given to us and procedures performed by us, we report that the Company has not raised loans during the year on the pledge of securities held in its subsidiaries. Further, the Company did not have any associates or joint ventures during the year.

x. (a) The Company has not raised any money by way of initial public offer or further public offer (including debt instruments) during the year. Accordingly, the reporting under clause 3(x)(a) of the Order is not applicable to the Company.

(b) The Company has not made any preferential allotment or private placement of shares or fully or partially or optionally convertible debentures during the year. Accordingly, the reporting under clause 3(x)(b) of the Order is not applicable to the Company.

xi. (a) During the course of our examination of the books and records of the Company, carried out in accordance with the generally accepted auditing practices in India, we have neither come across any instance of material fraud by the Company or on the Company, noticed or reported during the year, nor have we been informed of any such case by the Management.

(b) During the course of our examination of the books and records of the Company, carried out in accordance with the generally accepted auditing practices in India, a report under Section 143(12) of the Act, in Form ADT-4, as prescribed under rule 13 of Companies (Audit and Auditors) Rules, 2014 was not required to be filed with the Central Government. Accordingly, the reporting under clause 3(xi)(b) of the Order is not applicable to the Company.

(c) During the course of our examination of the books and records of the Company carried out in accordance with the generally accepted auditing practices in India, and as represented to us by the management, no whistle-blower complaints have been received during the year by the Company. Accordingly, the reporting under clause 3(xi)(c) of the Order is not applicable to the Company.

xii. As the Company is not a Nidhi Company and the Nidhi Rules, 2014 are not applicable to it, the reporting under clause 3(xii) of the Order is not applicable to the Company.

xiii. The Company has entered into transactions with related parties in compliance with the provisions of Sections 177 and 188 of the Act. The details of related party transactions have been disclosed in the standalone financial statements as required under Indian Accounting Standard 24 "Related Party Disclosures" specified under Section 133 of the Act.



xiv. (a) In our opinion, the Company has an internal audit system commensurate with the size and nature of its business.

(b) The reports of the Internal Auditor for the period under audit have been considered by us.

xv. In our opinion, the Company has not entered into any non-cash transactions with its directors or persons connected with him. Accordingly, the reporting on compliance with the provisions of Section 192 of the Act under clause 3(xv) of the Order is not applicable to the Company.

xvi. (a) The Company is not required to be registered under Section 45-IA of the Reserve Bank of India Act, 1934. Accordingly, the reporting under clause 3(xvi)(a) of the Order is not applicable to the Company.

(b) The Company has not conducted non-banking financial / housing finance activities during the year. Accordingly, the reporting under clause 3(xvi)(b) of the Order is not applicable to the Company.

(c) The Company is not a Core Investment Company (CIC) as defined in the regulations made by the Reserve Bank of India. Accordingly, the reporting under clause 3(xvi)(c) of the Order is not applicable to the Company.

(d) In our opinion, the Group (as defined in the Core Investment Companies (Reserve Bank) Directions, 2016) does not have any CICs, which are part of the Group. Accordingly, the reporting under clause 3(xvi)(d) of the Order is not applicable to the Company.

xvii. The Company has not incurred any cash losses in the financial year or in the immediately preceding financial year.

xviii. There has been no resignation of the statutory auditors during the year and accordingly the reporting under clause 3(xviii) of the Order is not applicable.

xix. On the basis of the financial ratios (Also refer Note 45 to the standalone financial statements), ageing and expected dates of realisation of financial assets and payment of financial liabilities, other information accompanying the standalone financial statements, our knowledge of the Board of Directors and management plans and based on our examination of the evidence supporting the assumptions, nothing has come to our attention, which causes us to believe that any material uncertainty exists as on the date of the audit report that the Company is not capable of meeting its liabilities existing at the date of balance sheet as and when they fall due within a period of one year from the balance sheet date. We, however, state that this is not an assurance as to the future viability of the Company. We further state that our reporting is based on the facts up to the date of the audit report and we neither give any guarantee nor any assurance that all liabilities falling due within a period of one year from the balance sheet date will get discharged by the Company as and when they fall due.

xx. As at balance sheet date, the Company does not have any amount remaining unspent under Section 135(5) of the Act. Accordingly, reporting under clause 3(xx) of the Order is not applicable.

Price Waterhouse Chartered Accountants LLP
LLP/N/AAC - 5001
Chartered Accountants
FRN 012754N/N500016
Mumbai

Price Waterhouse Chartered Accountants LLP

Annexure B to Independent Auditors' Report

Referred to in paragraph 12 of the Independent Auditors' Report of even date to the members of JK Files & Engineering Limited on the standalone financial statements as of and for the year ended March 31, 2025

xxi. The reporting under clause 3(xxi) of the Order is not applicable in respect of audit of Standalone Financial Statements. Accordingly, no comment in respect of the said clause has been included in this report.

For Price Waterhouse Chartered Accountants LLP
Firm Registration Number: 012754N/N500016



Arunkumar Ramdas
Partner
Membership Number: 112433
UDIN: 25112433BMOUXQ3804

Place: Mumbai
Date: May 07, 2025

JK Files & Engineering Limited
CIN: U27104MH1997PLC109955
Standalone Balance sheet as at 31st March, 2025
(All amounts are in Rs. lakhs, unless stated otherwise)

	Particulars	Note	As at March 31, 2025	As at March 31, 2024
I	ASSETS			
1	**Non-current assets**			
	(a) Property, plant and equipment	2(i)	3,564.51	4,035.83
	(b) Right of use assets	2(ii)	6,494.93	1,082.87
	(c) Capital work - in - progress	2(i)	91.74	64.87
	(d) Goodwill	3(a)	79.41	79.41
	(e) Other intangible assets	3(b)	27.43	31.60
	(f) Intangible assets under development	4	408.00	-
	(g) Financial assets			
	(i) Investment in subsidiaries	5	3,163.04	3,163.04
	(ii) Loans	6	43,600.00	40,100.00
	(iii) Other Financial Assets	7	1,259.27	298.53
	(h) Income tax assets (net)	30(c)	138.53	252.77
	(i) Other non - current assets	8	114.38	38.48
	Total Non-Current Assets		59,864.94	49,547.79
2	**Current assets**			
	(a) Inventories	9	7,850.23	7,445.31
	(b) Financial assets			
	(i) Trade receivables	10	5,125.84	3,830.48
	(ii) Cash and Cash Equivalents	11	334.48	166.30
	(iii) Other financial assets	7	250.80	376.20
	(c) Income tax assets (net)	30(c)	1.37	130.33
	(d) Other current assets	12	3,227.31	1,015.33
	Total Current Assets		16,792.83	13,355.43
	TOTAL ASSETS		76,657.77	62,903.20
II	**EQUITY AND LIABILITIES**			
1	**Equity**			
	(a) Equity share capital	13	1,048.88	1,048.88
	(b) Other equity	14	19,177.37	17,977.04
	Total Equity		20,226.25	19,025.92
2	**Liabilities**			
	Non-current liabilities			
	(a) Financial liabilities			
	(i) Borrowings	15	3,574.19	2,312.84
	(ii) Lease liabilities	2(b)	1,441.88	1,023.20
	(iii) Other financial liabilities	28	3.68	-
	(b) Deferred tax liabilities	30(d)	707.00	680.61
	Total Non Current Liabilities		5,826.07	4,016.45
	Current liabilities			
	(a) Financial Liabilities			
	(i) Borrowings	16	1,788.27	3,077.80
	(ii) Lease liabilities	2(b)	162.21	214.71
	(iii) Trade payables	17		
	(a) total outstanding of micro and small enterprises		229.14	360.27
	(b) total outstanding dues other than (ii) (a) above		5,491.31	5,168.14
	(c) Other financial liabilities	18	1,678.38	1,490.84
	(b) Provisions	19	475.67	269.25
	(c) Other current liabilities	20	3,814.04	1,367.74
	Total Current Liabilities		13,644.45	11,880.81
	Total Liabilities		47,011.52	43,877.08
	TOTAL EQUITY AND LIABILITIES		66,237.77	62,903.20
	Accounting Policies	1		

The above standalone balance sheet should be read in conjunction with the accompanying notes.

This standalone balance sheet referred to in our attached report of even date.

For Price Waterhouse Chartered Accountants LLP
Firm Registration No. 012754N/N500016

Sunkumar Ramdas
Partner
Membership No: 112433
Mumbai
7th May, 2025

For and on behalf of Board of Directors

Balasubramanian S.
Director
DIN: 03344476

Rashmi Mundada
Director
DIN: 08088922

Arun Agarwal
Chief Financial Officer

Hiren Sanandia
Company Secretary

Mumbai
7th May, 2025

JK Files & Engineering Limited
CIN: U74140MH1999PLC119933
Standalone Statement of Profit & Loss for the year ended 31st March, 2025
(All amounts are in Rs. lakhs, unless stated otherwise)

	Particulars	Note	Year ended 31st March, 2025	Year ended 31st March, 2024
I	Revenue from operations	31	43,570.70	43,471.96
II	Other income	32	4,222.41	490.56
III	Total income (I+II)		47,793.11	43,962.52
IV	Expenses			
	Cost of raw materials consumed	33	11,429.30	14,277.13
	Purchases of Stock-in-Trade	34	4,191.54	5,068.09
	Changes in inventories of work-in-progress, finished goods and stock-in-trade	35	379.17	(234.14)
	Employee benefits expense	36	5,495.84	5,651.41
	Finance costs	37	3,719.89	580.71
	Depreciation and amortisation expense	28	868.39	864.00
	Net impairment losses (including reversals) on financial assets		94.09	23.94
	Other expenses	29	16,764.73	16,147.59
	Total expenses (IV)		45,739.05	42,533.73
V	Profit before exceptional items and tax (III-IV)		1,654.06	1,529.81
VI	Exceptional Items (net)	47	-	(2,013.17)
VII	Profit / (Loss) before tax (V-VI)		1,654.06	(483.36)
VIII	Tax expense	30		
	Current tax		412.55	304.45
	Deferred tax		26.97	(388.62)
	Tax credit in respect of earlier years		(11.09)	-
	Total Tax expense (VIII)		428.43	(84.17)
IX	Profit / (Loss) for the year (VII- VIII)		1,225.63	(399.19)
X	Other Comprehensive Income			
	Items that will not be reclassified to profit or loss			
	- Remeasurements of defined benefit plans	51	(33.80)	96.69
	-Income tax relating to above	30	8.51	(24.33)
	Other Comprehensive income for the year (X)		(25.30)	72.36
XI	Total Comprehensive Income for the year (IX+X)		1,200.33	(326.83)
XII	Earnings per equity share of Rs. 2 each	34		
	Basic earnings per share (in Rs.)		2.34	(0.76)
	Diluted earnings per share (in Rs.)		2.34	(0.76)
	Accounting Policies	1		

The above standalone statement of profit and loss should be read in conjunction with the accompanying notes.

This is the standalone statement of profit and loss referred to in our report of even date.

For Price Waterhouse Chartered Accountants LLP
Firm Registration No. 012754N/N500016

Arunkumar Ramdas
Partner
Membership No.: 119433
Mumbai
7th May, 2025

For and on behalf of Board of Directors

Balasubramanian V.
Director
DIN: 05222476

Rashmi Mundada
Director
DIN: 08086902

Amit Agarwal
Chief Financial Officer

Hiren Sonawala
Company Secretary

Mumbai
7th May, 2025

JK Files & Engineering Limited
CIN: U74899HR1997PLC103953
Standalone Statement of Changes in Equity for the year ended 31st March, 2025
(All amounts are in Rs. lakhs, unless stated otherwise)

A. Equity Share Capital

Particulars	Equity Share Capital
	Amount
As at 1st April, 2023	1,048.88
Changes during the year	-
As at 31st March, 2024	1,048.88
Changes during the year	-
As at 31st March, 2025	1,048.88

B. Other Equity

Particulars	Reserves & Surplus						Total
	Securities Premium	Capital Reserve	Capital Redemption Reserve	Debenture Redemption Reserve	Equity component of compound financial instruments	Retained Earnings	
Balance as at 1st April, 2023	139.89	1,858.15	1,300.00	-	-	9,004.85	12,302.89
Loss for the year	-	-	-	-	-	(300.15)	(300.15)
Remeasurement of defined benefit obligation, net of tax	-	-	-	-	-	72.38	72.38
Total Comprehensive Income for the year	-	-	-	-	-	(227.77)	(227.77)
Capital contribution by parent (Refer Note 14)	-	-	-	-	-	-	-
Issue of 0.01% Non Convertible Redeemable Preference Shares ("NCRPS")	-	0.05	-	-	-	-	0.05
Effect of deferred tax of Rs. 1,066.56 lakhs (Refer Note 15)	-	-	-	-	3,171.38	-	3,171.38
Transfer to / (from)	-	-	-	1,000.00	-	(1,000.00)	-
Balance as at 31st March, 2024	139.89	1,858.15	1,300.00	1,000.00	3,171.38	8,004.80	15,474.22
Profit for the year	-	-	-	-	-	1,980.83	1,980.83
Remeasurement of defined benefit obligation, net of tax	-	-	-	-	-	(22.98)	(22.98)
Total Comprehensive Income for the year	-	-	-	-	-	1,957.85	1,957.85
Transfer to / (from)	-	-	-	(96.00)	-	96.00	-
Balance as at 31st March, 2025	139.89	1,858.15	1,300.00	904.80	3,171.38	9,958.65	17,432.07

The above standalone statement of changes in equity should be read in conjunction with the accompanying notes.

This is the standalone Statement of Changes in Equity referred to in our report of even date.

For Price Waterhouse Chartered Accountants LLP
Firm Registration No. 012754N/N500016

Arshdeep Randev
Partner
Membership No.: 118433
Mumbai
7th May, 2025

For and on behalf of Board of Directors

Subasubramanian V.
Director
DIN: 03222478

Rishabh Mundada
Director
DIN: 08086002

Arun Agarwal
Chief Financial Officer

Hiren Ramanlal
Company Secretary

Mumbai
7th May, 2025

JK Files & Engineering Limited
CIN: U25114MH1997PLC107955
Standalone Statement of Cash Flows for the year ended 31st March, 2025
(All amounts are in Rs. lakhs, unless stated otherwise)

	Particulars	Year ended 31st March, 2025		Year ended 31st March, 2024	
A.	**Cash Flow from Operating Activities**				
	Profit before exceptional items and tax as per statement of profit and loss		1,664.06		1,579.81
	Adjustment for :				
	Depreciation and Amortisation expenses	868.19		864.00	
	Net (gain) /Loss on disposal/(Discard) of property, plant and equipment	(5.78)		8.87	
	Liabilities no longer required written back	(37.02)		(7.41)	
	Interest income	(401.15)		(374.48)	
	Finance Cost	3,712.89		480.71	
	Unrealised (gain)/ loss on foreign exchange fluctuations	(22.70)		(34.63)	
	Net (gain) on sale / fair valuation of investments	-		(158.96)	
	Net impairment losses (including reversals) on financial assets	61.99		73.91	
	Gain on termination of lease	(87.13)		-	
			449.79		1,007.81
	Operating profit before changes in operating Assets & Liabilities		2,113.85		2,537.62
	Decrease/(Increase) in Inventory	292.02		(739.58)	
	Decrease/(Increase) in Trade & Other receivables	440.04		(1,237.51)	
	Decrease in other financial assets	53.09		435.88	
	Decrease/(Increase) in other assets	(804.71)		(26.22)	
	Increase/(Decrease) in Trade & other Payables	63.46		439.77	
	Increase /(Decrease) in other financial liabilities	477.64		(449.93)	
	Increase in other liabilities	1,246.31		235.15	
	Increase / (Decrease) in Provisions	105.30		(59.40)	
			1,173.09		(1,355.85)
			3,287.94		1,181.77
	(Less): Direct Taxes Paid (Net)		(113.19)		(475.99)
			3,174.75		705.78
	Loss : Exceptional Item		-		(1,053.17)
	Net cash flows generated/(used in) from operating activities		**3,174.75**		**(1,347.39)**
B.	**Cash Flow from Investing Activities**				
	Inflows				
	Proceeds from sale of property, plant & equipment		47.46		38.72
	Proceeds from sale of units of Mutual Funds		-		3,686.46
	Interest received		1,301.09		271.88
	Margin money Deposits with Banks		-		160.66
			1,348.55		4,157.72
	Outflows				
	Purchase of property, plant & equipment (including capital work-in-progress and capital Advances)		(777.94)		(851.43)
	Loan to related party		(2,901.00)		(40,100.00)
	Bank deposits placed (Net)		(187.16)		-
			(3,866.10)		(40,951.43)
	Net cash flows generated /(used in) from investing activities		**384.45**		**(36,793.71)**
C.	**Cash Flow from Financing Activities**				
	Inflows				
	Proceeds from long term borrowings		2,500.00		22,810.00
	Issue of Preference Shares		-		5,000.00
	Debentures		-		10,000.00
	Short term borrowings/(to/ (net)		-		1,380.60
			2,500.00		39,190.60
	Repayment of Short term borrowings		(1,516.58)		-
	Repayment of Long term borrowings		(952.00)		-
	Interest Paid on Long term borrowing		(1,172.08)		(180.23)
	Interest Paid on short term borrowing		(290.79)		(262.42)
	Principal elements of lease payments		(305.57)		(185.18)
	Interest on lease liabilities		(535.99)		(136.00)
			(5,273.01)		(763.83)
	Net cash flows (used in)/generated from financing activities		**(2,773.01)**		**38,426.85**
	Net Increase /(Decrease) in Cash and Cash Equivalents (A+B+C)		168.18		(4.25)
	Add :Cash and Cash Equivalents at the beginning of the financial Year		166.30		170.55
	Cash and Cash Equivalents as at the end of the Year		**334.48**		**166.30**

Price Waterhouse Chartered Accountants LLP
LLPIN AAC - 5001
Chartered Accountants
FRN 012754N/N500016
Mumbai

JK FILES & ENGINEERING LIMITED

JK Files & Engineering Limited
CIN: U27104MH1997PLC109855
Standalone Statement of Cash Flows for the year ended 31st March, 2025
(All amounts are in Rs. lakhs, unless stated otherwise)

	Non-cash financing and investing activities		
		Year ended 31st March, 2025	Year ended 31st March, 2024
	Acquisition of right-of-use assets	1,006.15	-

The above standalone statement of cash flows should be read in conjunction with the accompanying notes.

This is the Standalone Statement of Cash Flows referred to in our report of even date.

For Price Waterhouse Chartered Accountants LLP
Firm Registration No. 012754N/N500016

Arunkumar Ramlas
Partner
Membership No.: 112433
7th May, 2025

For and on behalf of the Board of Directors

Subramanian V.
Director
DIN: [illegible]

Rashmi Mundada
Director
DIN: 08884913

Amit Agarwal
Chief Financial Officer

Hiren Sonawala
Company Secretary

Mumbai
7th May, 2025

JK Files & Engineering Limited
CIN: U27104MH1995PLC091455
Notes to the Standalone financial statements for the year ended 31st March, 2025

Note 1. Statement of Accounting Policies

I Background and Basis of preparation of Standalone Financial Statements

JK Files & Engineering Limited ("the Company") is a public Company listed by shares and classified in India. The Company deals in tools and hand ware products. The Company has manufacturing facilities at Chiplun, Ratnagiri and Pune. The Registered office of the Company is situated at Mumbai. Refer Note 47 for details of Ratnagiri plant of the Company.

These Standalone Financial Statements were authorised for issue in accordance with a resolution of the Board of Directors on May 07, 2025.

(i) Compliance with Ind AS

The Standalone financial statements comply in all material aspects with Indian Accounting Standards (Ind AS) notified under Section 133 of the Companies Act, 2013 (the Act) [Companies (Indian Accounting Standards) Rules, 2015, as amended] and other relevant provisions of the Act.

(ii) Historical cost convention

The standalone financial statements have been prepared on a historical cost basis, except for the following:
- certain financial assets and liabilities (including derivative instruments) measured at fair value;
- assets held for sale – measured at lower of book value and fair value less cost to sell;
- defined benefit plans – plan assets measured at fair value.

(iii) New and amended standards adopted by the Company

The Ministry of Corporate Affairs vide notification dated September 09, 2024 and September 08, 2025 notified the Companies (Indian Accounting Standards) Second Amendment Rules, 2024 and Companies (Indian Accounting Standards) Third Amendment Rules, 2025, respectively, which amended/ notified certain accounting standards (see below) and are effective for annual reporting periods beginning on or after 1 April 2024:

i) Insurance contracts – Ind AS 117; and

ii) Lease Liability in Sale and Leaseback – Amendments to Ind AS 116

There are no such rule did not have any material impact on the amounts recognised in prior periods and are not expected to significantly affect the current or future periods.

(iv) Current non-current classification

All assets and liabilities have been classified as current or non-current as per the Company's normal operating cycle (twelve months) and other criteria set out in the Schedule III (Division II) to the Act.

(v) Rounding of amounts

All amounts disclosed in the financial statements and notes have been rounded off to the nearest lakhs as per the requirement of Schedule III (Whether Rs. or less if shown as such).

II Material Accounting Policies

(a) Property, plant and equipment

Freehold land is carried at historical cost. All other items of property, plant and equipment are stated at cost less depreciation and impairment, if any. Historical cost includes expenditure that is directly attributable to the acquisition of the items.

Subsequent costs are included in the asset's carrying amount or recognised as a separate asset, as appropriate, only when it is probable that future economic benefits associated with the item will flow to the Company and the cost of the item can be measured reliably. The carrying amount of any component accounted for as a separate asset is derecognised when replaced. All other repairs and maintenance are charged to the Statement of Profit and Loss during the reporting period in which they are incurred. Gains and losses on disposals are determined by comparing proceeds with carrying amount. These are included in profit or loss within other income / other expenses. Gain/loss is to Ind AS. the company has elected to continue with the carrying value of all of its property, plant and equipment measured as per the previous GAAP and use that carrying value as the deemed cost of the property, plant and equipment.

Depreciation methods, estimated useful lives and residual value

Depreciation on Factory Buildings and Plant and Machinery is provided on a Straight Line Method and in case of other assets on Written Down Value Method, as per the estimated useful lives of assets. Leasehold improvements are depreciated on a straight line basis over the shorter of the lease term and useful life of the underlying asset.

The Company depreciates its property, plant and equipment over the useful life in the manner prescribed in Schedule II of the Act, and management believe that useful lives of assets are same as those prescribed in schedule II of the Act, except for plant and machinery, useful life for which based on an independent technical evaluation has been estimated as six years from the date of acquisition for a single shift basis, which is different from that prescribed in Schedule II of the Act.

The estimated useful lives of the property, plant and equipment are:

Class of Asset	Useful life
Buildings	60 years
Plant and machinery	25 years
Furniture and fixtures	10 years
Vehicles	8 years
Office equipment	5 years
Computers	3 years

The residual values are not more than 5% of the original cost of the asset. The assets residual values and useful lives are reviewed, and adjusted if appropriate, at the end of each reporting period.

(b) Inventories

Inventories of raw materials, stock in trade, stores and spares, work-in-progress, and finished goods are stated at cost or net realisable value, whichever is lower. Cost of raw materials, stores and spares and stock in trade comprises cost of purchases. Cost of work-in-progress and finished goods comprises direct materials, direct labour and an appropriate proportion of variable and fixed overhead expenditure, the latter being allocated on the basis of normal operating capacity. Cost of inventories also include all other costs incurred in bringing the inventories to their present location and condition. Costs of purchased inventory are determined after deducting rebates and discounts. Cost formula used is 'Weighted Average cost'. Slow moving, non-moving and defective inventories are identified and where necessary, provision is made for such inventories considering various factors such as shelf usage, obsolescence, etc. Net realisable value is the estimated selling price in the ordinary course of business less the estimated costs of completion and the estimated costs necessary to make the sale.

(c) Trade Receivables

Trade receivables are amounts due from customers for goods sold or services performed in the ordinary course of business and reflects the Company's unconditional right to consideration (that is, payment is due only on the passage of time). Trade receivables are recognised initially at the transaction price as they do not contain significant financing components. The Company holds the trade receivables with the objective of collecting the contractual cash flows and therefore measures them subsequently at amortised cost using the effective interest method, less loss allowance.

The Company applies the simplified approach required by Ind AS 109 Financial Instruments, which requires expected lifetime losses to be recognised from initial recognition of the receivables.

Price Waterhouse Chartered Accountants LLP
LLPIN AAC - 5001
Chartered Accountants
FRN 012754N/N500016
Mumbai

JK FILES & ENGINEERING LIMITED

(d) Borrowings

Borrowings are initially recognised at fair value, net of transaction costs incurred. Borrowings are subsequently measured at amortised cost. Any difference between the proceeds (net of transaction costs) and the redemption amount is recognised in the profit or loss over the year of the borrowings using the effective interest method. Fees paid on the establishment of loan facilities are recognised as transaction costs of the loan to the extent that it is probable that some or all of the facility will be drawn down. In this case, the fee is deferred until the draw-down occurs. To the extent there is no evidence that it is probable that some or all of the facility will be drawn down, the fee is capitalised as a prepayment for liquidity services and amortised over the year of the facility to which it relates.

Borrowings are removed from the balance sheet when the obligation specified in the contract is discharged, cancelled or expired. The difference between the carrying amount of a financial liability that has been extinguished or transferred to another party and the consideration paid, including any non-cash assets transferred or liabilities assumed, is recognised in profit or loss as other income / other expenses.

Borrowings are classified as current liabilities unless the Company has an unconditional right to defer settlement of the liability for at least 12 months after the reporting period. Where there is a breach of a material provision of a long-term loan arrangement on or before the end of the reporting period with the effect that the liability becomes payable on demand on the reporting date, the entity does not classify the liability as current, if the lender agreed, after the reporting period and before the approval of the financial statements for issue, not to demand payment as a consequence of the breach.

Preference shares, which are mandatorily redeemable and redeemable on a specific date and carry a coupon rate which is not market driven rate, are classified as compound financial instruments.

The fair value of the liability portion is determined using a market interest rate. This amount is recorded as a liability on an amortised cost basis until extinguished on redemption of the preference shares. The remainder of the proceeds is attributable to the equity component of the compound instrument. This is recognised and included in Other equity, net of income tax effects, and not subsequently remeasured.

(e) Revenue from contracts with customers

(i) Sale of Goods

Sales are recognised when the control of the goods has been transferred to customer which is generally on delivery of goods and there is no unfulfilled obligation that could affect the customer's acceptance of the product. Delivery occurs when the products have been shipped to the specific location, risk of obsolescence and loss have been transferred to customer and the Company has objective evidence that all criteria for the acceptance have been satisfied.

The goods are sold with retrospective volume discounts based on aggregate sales over a 12 months period. Revenue from these sales is recognised based on the price specified in the contract, net of the estimated volume discounts. Accumulated experience is used to estimate and provide for the discounts, using the expected value method, and revenue is only recognised to the extent that it is highly probable that a significant reversal will not occur.

A receivable is recognised when the goods are delivered as this is the point in time that the consideration is unconditional because only the passage of time is required before the payment is due.

(ii) Sales of Services

Revenue from sale of services is recognised in the accounting year in which the services are rendered. For fixed-price contracts, revenue is recognised based on the actual service provided to the end of the reporting period as a proportion of the total services to be provided.

(iii) Financing Components

The Company does not expect to have any contracts where the period between the transfer of the promised goods or services to the customer and payment by the customer exceeds one year. As a consequence, the Company does not adjust any of the transaction prices for the time value of money.

(vi) Cash received before the goods and services are delivered is recognised as a contract liability.

III Other Accounting Policies

(a) Use of estimates and judgments

The estimates and judgments used in the preparation of the standalone financial statements are continuously evaluated by the Company and are based on historical experience and various other assumptions and factors (including expectations of future events) that the Company believes to be reasonable under the existing circumstances. Differences between actual results and estimates are recognised in the year in which the results are known/crystallised.

The said estimates are based on the facts and events, that existed as at the reporting date, or that occurred after that date but provide additional evidence about conditions existing as at the reporting date.

Price Waterhouse Chartered Accountants LLP
LLPIN AAC - 5091
Chartered Accountants
FRN 012754N/N500016
Mumbai

JK FILES & ENGINEERING LIMITED

(h) Intangible assets

Goodwill generated as part of business combination are not amortised but it is tested for impairment annually, or more frequently if events or changes in circumstances indicate that it might be impaired, and is carried at cost less accumulated impairment losses. Gains and losses on the disposal of an entity include the carrying amount of goodwill relating to the entity sold.

Goodwill is allocated to cash generating units for the purpose of impairment testing. The allocation is made to those cash generating units or groups of cash generating units that are expected to benefit from the business combination in which the goodwill arose. The units or groups of units are identified at the lowest level at which goodwill is monitored for internal management purposes, which in our case are the operating segments.

Computer software
Computer software are stated at cost, less accumulated amortisation and impairments, if any.

Trademarks
Trademarks acquired separately are shown at historical cost. They have a finite useful life and are subsequently carried at cost less accumulated amortisation and impairment losses.

Amortisation method
The Company amortises intangible assets with a finite useful life using the straight line method over following period:

Class of Asset	Useful life
Computer Software	3 years
Trademark	10 years

Gains and losses on disposals are determined by comparing proceeds with carrying amount. These are included in profit or loss within other income / other expenses.

(i) Cash and Cash Equivalents

For the purpose of presentation in the Standalone Statement of Cash Flows, cash and cash equivalents include cash on hand, other short-term highly liquid investments with original maturities of three months or less that are readily convertible to known amounts of cash and which are subject to an insignificant risk of changes in value.

(j) Investment in subsidiaries

Investment in subsidiaries is recognised at cost as per Ind AS-27.

(k) Trade and other payables

These amounts represent liabilities for goods and services provided to the Company prior to the end of the reporting period which are unpaid. Trade and other payables are presented as current liabilities unless payment is not due within 12 months after the reporting period.

They are recognised initially at their fair value and subsequently measured at amortised cost using the effective interest method.

(l) Investments and other financial assets

(i) Classification
The Company classifies its financial assets in the following measurement categories:
- those to be measured subsequently at fair value (either through other comprehensive income, or through the Statement of Profit and Loss), and
- those measured at amortised cost.

The classification depends on the Company's business model for managing the financial assets and the contractual terms of the cash flows.

(ii) Recognition
Financial assets are initially recognised when the Company becomes party to the contractual provisions of the instrument.

(iii) Measurement
At initial recognition, the Company measures a financial asset (excluding trade receivables which do not contain a significant financing component) at its fair value plus, in the case of a financial asset not at fair value through profit or loss, transaction costs that are directly attributable to the acquisition of the financial asset. Transaction costs of financial assets carried at fair value through profit or loss are expensed in profit or loss.

Debt instruments:
Subsequent measurement of debt instruments depends on the Company's business model for managing the asset and the cash flow characteristics of the asset. The Company classifies its debt instruments in following categories:

- Amortised cost: Assets that are held for collection of contractual cash flows where those cash flows represent solely payments of principal and interest are measured at amortised cost. Interest income from these financial assets is included within other income using the effective interest rate method. Any gain or loss arising on derecognition is recognised directly in profit or loss and presented in other income / other expenses. Impairment losses are presented as separate line item in the statement of profit and loss.

- Fair value through profit and loss: Assets that do not meet the criteria for amortised cost are measured at fair value through profit or loss. Interest income from these financial assets is included in other income.

A gain or loss on debt investment that is subsequently measured at fair value through profit or loss is recognised in profit or loss and presented net within other income / other expenses in the year in which it arises.

(iv) Impairment of financial assets
The Company assesses on a forward looking basis the expected credit losses associated with its assets carried at amortised cost. The impairment methodology applied depends on whether there has been a significant increase in credit risk.

(v) Derecognition of financial assets
A financial asset is derecognised only when:
- the Company has transferred the rights to receive cash flows from the financial asset or
- retains the contractual rights to receive the cash flows of the financial asset, but assumes a contractual obligation to pay the cash flows to one or more recipients.

Where the entity has transferred an asset, the Company evaluates whether it has transferred substantially all risks and rewards of ownership of the financial asset. In such cases, the financial asset is derecognised. Where the entity has not transferred substantially all risks and rewards of ownership of the financial asset, the financial asset is not derecognised.

Where the entity has neither transferred a financial asset nor retains substantially all risks and rewards of ownership of the financial asset, the financial asset is derecognised if the Company has not retained control of the financial asset. Where the Company retains control of the financial asset, the asset is continued to be recognised to the extent of continuing involvement in the financial asset.

Price Waterhouse Chartered Accountants LLP
LLP IDENTIFICATION NO. - 500016
Chartered Accountants
FIRN 012754N/N500016
Mumbai

JK FILES & ENGINEERING LIMITED

(vi) Income recognition

Interest income

Interest income from debt instruments is recognised using the effective interest rate method applied to the gross carrying amount of a financial asset except for financial assets that subsequently become credit-impaired. For credit-impaired financial assets the effective interest rate is applied to the net carrying amount of the financial asset (after deduction of the loss allowance).

Dividends

Dividends are recognised as other income in profit or loss when the right to receive payment is established. This applies even if they are paid out of pre-acquisition profits, unless the dividend clearly represents a recovery of part of the cost of the investment.

(vj) Dividends

Provision is made for the amount of any dividend declared, being appropriately authorised and no longer at the discretion of the entity, on or before the end of the reporting period but not distributed at the end of the reporting period.

(k) Derivative financial instruments

Derivatives are only used for economic hedging purposes and not as speculative investments. However, where derivatives do not meet the hedge accounting criteria, they are classified as 'held for trading' for accounting purposes and are accounted for as FVPL. They are presented as current assets or liabilities to the extent they are expected to be settled within 12 months after the end of the reporting period.
Derivatives are initially recognised at fair value on the date a derivative contract is entered into and are subsequently re-measured to their fair value at the end of each reporting period.

(l) Offsetting financial instruments

Financial assets and liabilities are offset and the net amount is reported in the balance sheet where there is a legally enforceable right to offset the recognised amounts and there is an intention to settle on a net basis or realise the assets and settle the liabilities simultaneously. The legally enforceable right must not be contingent on future events and must be enforceable in the normal course of business and in the event of default, insolvency or bankruptcy of the Company or the counterparty.

(m) Borrowing costs

Interest and other borrowing costs attributable to the acquisition, construction or production of a qualifying assets are capitalized during the period of time that is required to complete and prepare the asset for its intended use or sale. Qualifying assets are assets that necessarily take a substantial period of time to get ready for their intended use or sale. Other interest and borrowing costs are charged to profit or loss.

(n) Provisions and contingent liabilities

Provisions are recognized when the Company has a present legal or constructive obligation as a result of past events, it is probable that an outflow of resources will be required to settle the obligation and the amount can be reliably estimated. Provisions are not recognized for future operating losses.

Where there are a number of similar obligations, the likelihood that an outflow will be required in settlement is determined by considering the class of obligations as a whole. A provision is recognized even if the likelihood of an outflow with respect to any one item included in the same class of obligations may be small.

Provisions are measured at the present value of management's best estimate of the expenditure required to settle the present obligation at the end of the reporting period. The discount rate used to determine the present value is a pre-tax rate that reflects current market assessments of the time value of money and the risks specific to the liability. The increase in the provision due to the passage of time is recognised as interest expense in profit or loss.

A contingent liability is a possible obligation that arises from a past event, with the resolution of the contingency dependent on uncertain future events, or a present obligation where an outflow is probable. Material contingent liabilities are disclosed in standalone financial statements unless the possibility of an outflow of economic resources is remote. Contingent assets are not recognised in standalone financial statements unless it is virtually certain that the future event will confirm the asset's existence and the asset will be realised.

(o) Employee benefits

(i) Short-term Employee Benefits

Liabilities for wages and salaries, including non-monetary benefits that are expected to be settled wholly within 12 months after the end of the year in which the employees render the related service are recognised in respect of employees' services up to the end of the reporting period and are measured at the amounts expected to be paid when the liabilities are settled. The liabilities are presented as current employee benefit obligations in the balance sheet.

(ii) Defined Contribution Plans

The Company pays provident fund contributions etc. to publicly administered provident and other funds as per local regulations. The Company has no further payment obligations once the contributions have been paid. The contributions are accounted for as defined contribution plans and the contributions are recognised as employee benefit expense when they are incurred.

(iii) Post employment obligations

Defined Benefit Plans

The liability or asset recognised in the balance sheet in respect of defined gratuity plans is the present value of the defined benefit obligation at the end of the reporting period less the fair value of plan assets. The defined benefit obligation is calculated annually by actuaries using the projected unit credit method.

The present value of the defined benefit obligation denominated in INR is determined by discounting the estimated future cash outflows by reference to market yields at the end of the reporting period on government bonds that have terms approximating to the terms of the related obligation.

The net interest cost is calculated by actuary applying the discount rate to the net balance of the defined benefit obligation and the fair value of plan assets. This cost is included in employee benefit expense in the Statement of Profit and Loss.

Remeasurement gains and losses arising from experience adjustments and changes in actuarial assumptions are recognised in the year in which they occur, directly in other comprehensive income. They are included in retained earnings in the statement of changes in equity and in the balance sheet.

Changes in the present value of the defined benefit obligation resulting from plan amendments or curtailments are calculated by actuary and recognised immediately in the Profit or Loss as past service cost.

(iv) Other long-term employee benefit obligations

The liabilities for compensated absences are not expected to be settled wholly within 12 months after the end of the year in which the employees render the related service. An actuarial calculation is obtained at the end of reporting period. The present value of expected future payments to be made in respect of services provided by employees up to the end of the reporting period, using the projected unit credit method. The benefits are discounted using the appropriate market yields at the end of the reporting period that have terms approximating to the terms of the related obligations. Remeasurements as a result of experience adjustments and changes in actuarial assumptions are recognised in profit or loss.

The obligations are presented as current liabilities in the balance sheet of the entity also as it does not have an unconditional right to defer settlement for at least twelve months after the reporting period, regardless of when the actual settlement is expected to occur.

Price Waterhouse Chartered Accountants LLP
LLPIN AAB - 5001
Chartered Accountants
FRN 012754N/N500016
Mumbai

JK FILES & ENGINEERING LIMITED

(v) Termination benefits

Termination benefits are payable when employment is terminated by the Company before the normal retirement date, or when an employee accepts voluntary redundancy in exchange for these benefits. The Company recognises termination benefits at the earlier of the following dates: (a) when the Company can no longer withdraw the offer of those benefits; and (b) when the Company recognises costs for a restructuring that is within the scope of Ind AS 37 and involves the payment of termination benefits. In the case of an offer made to encourage voluntary redundancy, the termination benefits are measured based on the number of employees expected to accept the offer. Benefits falling due more than 12 months after the end of the reporting period are discounted to present value.

(m) Foreign currency translation

(i) Functional and presentation currency

Items included in the financial statements are measured using the currency of the primary economic environment in which the Company operates ('the functional currency'). The Standalone Financial Statements are presented in Indian rupee (INR), which is JK Files & Engineering Limited's functional and presentation currency.

(ii) Transactions and balances

Transactions in foreign currencies are recognised at the prevailing exchange rates on the respective transaction dates. Realised gains and losses on settlement of foreign currency transactions are recognised in profit or loss.

Monetary foreign currency assets and liabilities at the year-end are translated at the year-end exchange rates and the resultant exchange differences are recognised in profit or loss.

(n) Income tax

The income tax expense or credit for the year is the tax payable on the current period's taxable income based on the applicable income tax rate adjusted by changes in deferred tax assets and liabilities attributable to temporary differences and to unused tax losses.

The current income tax charge is calculated on the basis of the tax laws enacted or substantively enacted at the end of the reporting period in the country where the Company operate and generate taxable income. Management periodically evaluates positions taken in tax returns with respect to situations in which applicable tax regulation is subject to interpretation and establishes whether it is probable that a taxation authority will accept an uncertain tax treatment. The Company measures its tax balances either based on the most likely amount or the expected value, depending on which method provides a better prediction of the resolution of the uncertainty.

Deferred income tax is provided in full, using the liability method on temporary differences arising between the tax bases of assets and liabilities and their carrying amounts in the standalone financial statements. Deferred income tax is determined using tax rates (and laws) that have been enacted or substantially enacted by the end of the reporting period and are expected to apply when the related deferred income tax asset is realised or the deferred income tax liability is settled.

Deferred tax assets are recognised for all deductible temporary differences and unused tax losses only if it is probable that future taxable amounts will be available to utilise those temporary differences and losses.

Deferred tax assets are not recognised for temporary differences between the carrying amount and tax bases of investments in subsidiary, where it is not probable that the differences will reverse in the foreseeable future and taxable profit will not be available against which the temporary differences can be utilised.

Deferred tax assets and liabilities are offset when there is a legally enforceable right to offset current tax assets and liabilities and when the deferred tax balances relate to the same taxation authority. Current tax assets and tax liabilities are offset where the Company has a legally enforceable right to offset and intends either to settle on a net basis, or to realise the asset and settle the liability simultaneously.

Current and deferred tax is recognised in the Statement of Profit or Loss, except to the extent that it relates to items recognised in other comprehensive income or directly in equity. In this case, the tax is also recognised in other comprehensive income or directly in equity, respectively.

(o) Earnings Per Share

Basic earnings per share

Basic earnings per share is calculated by dividing:

- the profit attributable to owners of the Company
- by the weighted average number of equity shares outstanding during the financial year, adjusted for bonus elements in equity shares issued during the year and excluding treasury shares.

Diluted earnings per share

Diluted earnings per share adjusts the figures used in the determination of basic earnings per share to take into account:

- the after income tax effect of interest and other financing costs associated with dilutive potential equity shares, and
- the weighted average number of additional equity shares that would have been outstanding assuming the conversion of all dilutive potential equity shares.

(p) Segment Reporting

Operating segments are reported in a manner consistent with the internal reporting provided to the Managing Director.

The board of directors of Company has appointed a Managing Director who assesses the financial performance and position of the Company, and makes strategic decisions.

Price Waterhouse Chartered Accountants LLP
LLP Reg. No. AAC - 5091
Chartered Accountants
FRN 012754N/N500018
Mumbai

JK FILES & ENGINEERING LIMITED

(c) Impairment of non-financial assets:

Goodwill is not subject to amortisation and is tested annually for impairment, or more frequently if events or changes in circumstances indicate that they might be impaired. Other assets are tested for impairment whenever events or changes in circumstances indicate that the carrying amount may not be recoverable. An impairment loss is recognised for the amount by which the asset's carrying amount exceeds its recoverable amount. The recoverable amount is the higher of an asset's fair value less costs of disposal and value in use. For the purpose of assessing impairment, assets are grouped at the lowest levels for which there are separately identifiable cash inflows which are largely independent of the cash inflows from other assets or group of assets (cash-generating-units). Non-financial assets other than goodwill that suffered an impairment are reviewed for possible reversal of the impairment at the end of each reporting period.

An impairment loss is recognised for any initial or subsequent write-down of the asset to fair value less costs to sell. A gain is recognised for any subsequent increase in fair value less costs to sell of an asset, but not in excess of any cumulative impairment loss previously recognised. A gain or loss not previously recognised by the date of the sale of the non-current asset is recognised at the date of derecognition.

(d) Non-current assets (or disposal groups) held for sale :
Non-current assets (or disposal groups) are classified as held for sale if their carrying amount will be recovered principally through a sale transaction rather than through continuing use and a sale is considered highly probable. They are measured at the lower of their carrying amount and fair value less costs to sell, except for assets such as deferred tax assets, assets arising from employee benefits, financial assets and contractual rights under insurance contracts, which are specifically exempt from this requirement.

An impairment loss is recognised for any initial or subsequent write-down of the asset (or disposal group) to fair value less costs to sell. A gain is recognised for any subsequent increases in fair value less costs to sell of an asset (or disposal group), but not in excess of any cumulative impairment loss previously recognised. A gain or loss not previously recognised by the date of the sale of the non-current asset (or disposal group) is recognised at the date of de-recognition.

Non-current assets (or disposal groups) are not depreciated or amortised while they are classified as held for sale. Interest and other expenses attributable to the liabilities of a disposal group classified as held for sale are not taken be recognised.

Non-current assets classified as held for sale and the assets of a disposal group classified as held for sale are presented separately from the other assets in the balance sheet. The liabilities of a disposal group classified as held for sale are presented separately from other liabilities in the balance sheet.

(e) Exceptional Items:
Exceptional Items is an item of income or expense within the Statement of Profit and Loss, which is of such size, nature and incidence that its disclosure is relevant to explain the performance of the Company for the year. The nature and amount of such items is disclosed separately in the Statement of Profit and Loss.

(f) Business Combinations:
The acquisition method of accounting is used to account for all business combinations (other than common control business combinations), regardless of whether equity instruments or other assets are acquired. The acquisition date is the date on which control is transferred to the acquirer. Judgement is applied in determining the acquisition date and determining whether control is transferred from one party to another. The excess of the consideration transferred over the fair value of the net identifiable assets acquired is recorded as goodwill. Identifiable assets acquired and liabilities assumed in a business combination are measured initially at their fair value on the date of acquisition. Goodwill is not amortised but it is tested for impairment annually, or more frequently if events or changes in circumstances indicate that it might be impaired, and is carried at cost less accumulated impairment losses.

Business combinations arising from transfers of interests in entities that are under the common control are accounted for using the pooling of interest method. The difference between any consideration transferred and the aggregate historical carrying values of assets and liabilities of the acquired entity are recognised in shareholders' equity.

(g) Leases:

As a lessee

Leases are recognised as a right-of-use asset ("ROU") and a corresponding lease liability at the date at which leased asset is available for use by the Company for all lease arrangements in which it is a lessee, except for leases with a term of twelve months or less (short term leases) and leases of low value assets. For these short term leases and leases of low value assets, the Company recognises the lease payments as an expense on a straight-line basis over the term of the lease.

The right-of-use assets are initially recognised at cost, which comprises the initial amount of the lease liability adjusted for any lease payments made at or prior to the commencement date of the lease plus any initial direct costs and restoration costs. They are subsequently measured at cost less accumulated depreciation and impairment losses, if any. Right-of-use assets are depreciated from the commencement date on a straight-line basis over the shorter of the lease term and useful life of the underlying asset.

The lease liability is initially measured at the present value of the future lease payments which includes principal and finance cost component. Lease payments to be made under reasonably certain extension options are also included in the measurement of the liability. The lease payments are discounted using the interest rate implicit in the lease or, if not readily determinable, using the incremental borrowing rates, being the rate that the individual lessee would have to pay to borrow the funds necessary to obtain an asset of similar value to the right-of-use asset in a similar economic environment with similar terms, security and conditions. The lease liability is subsequently remeasured by increasing the carrying amount to reflect interest on the lease liability, reducing the carrying amount to reflect the lease payments made.

To determine the incremental borrowing rate, the Company's where possible, uses recent third-party financing received by the individual lessee as a starting point, adjusted to reflect changes in financing conditions since third party financing was received.

Lease payments are allocated between principal and finance cost. The finance cost is charged to profit or loss over the lease period so as to produce a constant periodic rate of interest on the remaining balance of the liability for each year.

A lease liability is remeasured upon the occurrence of certain events such as a change in the lease term. Where the carrying amount of the right of use asset is reduced to zero and there is a further reduction in the measurement of the lease liability, the Company recognises any remaining amount of the re-measurement in the Statement of Profit and Loss.

IV Critical estimates and judgements

The preparation of the standalone financial statements requires the use of accounting estimates which by definition will seldom equal the actual results.

This note provides an overview of the areas that involved a higher degree of judgement or complexity, and items which are more likely to be materially adjusted due to estimates and assumptions turning out to be different than those originally assessed. Detailed information about each of these estimates and judgements is included in relevant notes together with information about the basis of calculation for each affected line item in the Standalone Financial statements.

The areas involving critical estimates are:

- Estimation of Defined benefit obligation - Measurement of defined benefit obligation and related plan expense assumptions and estimates that can have a significant impact on the recognised costs and obligation, such as future salary level, discount rate, attrition rate and mortality. [Refer Note 37]
- Inventory write-downs - Inventory write-downs are assessed based on slow-moving, non-moving and defective inventories considering various factors such as likely usage, obsolescence etc. [Refer Note 9]
- Provisions and contingencies are continually evaluated. They are based on historical experience and other factors, including expectations of future events that are believed to have a financial impact on the Company and that are believed to be reasonable under the circumstances.

Price Waterhouse Chartered Accountants LLP
PIN AAC 1000
Chartered Accountants
FRN 012754N/N500016
Mumbai

JK FILES & ENGINEERING LIMITED

JK Files & Engineering Limited
CIN: U27104MH1997PLC105955
Notes to the Standalone financial statements for the year ended 31st March, 2025
(All amounts are in Rs. lakhs, unless stated otherwise)

Note 2(a)- Property, Plant and Equipment

	Buildings	Plant & machinery	Furniture & fixtures	Vehicles	Office equipment	Computers	Total
Gross carrying amount							
Balance as at 1st April , 2023	1,302.26	6,339.88	91.29	9.67	66.04	266.55	8,075.69
Additions	92.14	1,124.57	8.35	23.68	10.15	33.68	1,292.57
Disposals/Adjustments	23.83	56.73	-	-	-	23.27	103.83
Balance as at 31st March , 2024	1,370.57	7,407.72	99.64	33.35	76.19	276.96	9,264.43
Additions	8.95	150.41	5.72	-	4.30	49.10	218.48
Disposals/Adjustments	-	81.94	-	-	3.03	-	84.97
Balance as at 31st March , 2025	1,379.52	7,476.19	105.36	33.35	77.46	326.06	9,397.94
Accumulated depreciation							
Balance as at 1st April, 2023	419.17	3,931.62	52.09	8.51	45.23	169.96	4,626.58
Charge for the year	59.13	535.50	14.04	2.55	8.34	40.90	660.46
Disposals/Adjustments	0.31	36.29	-	-	-	21.94	58.54
Balance as at 31st March , 2024	477.99	4,430.83	66.13	11.06	53.57	188.92	5,228.50
Charge for the year	74.03	519.34	8.93	3.91	8.08	43.93	658.22
Disposals/Adjustments	-	40.42	-	-	2.87	-	43.29
Balance as at 31st March , 2025	552.02	4,909.75	75.06	14.97	58.78	232.85	5,843.43
Net carrying amount							
Balance as at 31st March , 2024	892.58	2,976.89	33.51	22.29	22.62	88.04	4,035.93
Balance as at 31st March, 2025	827.50	2,566.44	30.30	18.38	18.68	93.21	3,554.51

NOTE:
1) Refer note 35 for information on Property Plant and Equipment pledged as security by the Company.
2) Refer note 37 for disclosure of contractual commitments for acquisition of Property Plant and Equipment .

Price Waterhouse Chartered Accountants LLP LLPIN AAC - 5001 Chartered Accountants FRN 012754N/N500016 Mumbai

JK FILES & ENGINEERING LIMITED

Note 2(b)- Leases

This note provides information for leases where the Company is a lessee. The Company has leasehold land ranging from 60 to 99 years. The Company has also leased offices, factories and warehouses for which lease terms range from 11 months to 15 years.

(i) Amounts recognised in Standalone Balance Sheet

Set out below are the carrying amounts of right of use assets recognised and movements during the year:

Particulars	Leasehold Land	Buildings	Total right of use assets
I. Gross carrying amount			
As at 1st April, 2023	305.80	1,410.13	1,715.93
Additions	-	-	-
Disposals / Adjustments	-	-	-
As at 31st March, 2024	305.08	1,480.13	1,778.16
Additions	-	1,006.13	1,006.13
Disposals / Adjustments	-	751.35	751.35
As at 31st March, 2025	305.02	1,734.91	2,032.93
II. Accumulated depreciation			
As at 1st April, 2023	16.47	425.73	442.20
Charge for the year	5.18	154.68	159.86
Disposals / Adjustments	-	-	-
As at 31st March, 2024	21.65	580.59	602.24
Charge for the year	5.20	196.63	201.83
Disposals / Adjustments	-	331.91	331.91
As at 31st March, 2025	26.85	385.31	412.16
Net carrying amount			
As at 31st March, 2024	283.37	719.50	1,082.87
As at 31st March, 2025	278.17	1,349.70	1,494.93

Particulars	As at March 31, 2025	As at March 31, 2024
Lease Liabilities		
Current	184.21	215.71
Non current	1,441.88	1,027.220
Total	1,814.05	1,242.91

(ii) Amounts recognised in the standalone Statement of Profit and loss

The standalone statement of profit or loss shows the following amounts relating to leases:

Particulars	Note	Year ended 31st March, 2025	Year ended 31st March, 2024
Depreciation of right-of-use assets	28		
- Leasehold Land		5.20	5.20
- Buildings		196.63	154.68
Interest expense (included in finance costs)	27	175.88	138.02
Expense relating to short-term leases (included in other expenses)	29(b)	593.10	303.27

The total cash outflow for leases for the year ended March 31, 2025 is Rs 911.98 Lakhs and for the year ended March 31, 2024 was Rs 456.07 Lakhs (including short term lease payments).

(iii) Extension and termination options

Extension and termination options are included in a number of property leases across the Company. These are used to maximise operational flexibility in terms of managing the assets used in the Company's operations. The majority of extension and termination options held are exercisable only by the Company and not by the respective lessor.





JK Files & Engineering Limited
CIN: U27104MH1997PLC105955
Notes to the Standalone financial statements for the year ended 31st March, 2025
(All amounts are in Rs. lakhs, unless stated otherwise)

Note 2(b)- Leases
Additional Regulatory Information:-

As at March 31, 2025 and March 31, 2024

Relevant line item in the Balance sheet	Description of item of property	Gross carrying value (Rs. Lakhs)	Title deeds held in the name of	Whether title deed holder is a promoter, director or relative of promoter/director or employee of promoter/director	Property held since which date	Reason for not being held in the name of the Company
Right of use asset	Land	61.90	Raymond Limited	Promoter	1st October, 2009	Pending registration formalities with Maharashtra Industrial Development Corporation (MIDC).





JK Files & Engineering Limited

CIN: U27104MH1997PLC105955

Notes to the Standalone financial statements for the year ended 31st March, 2025

(All amounts are in Rs. lakhs, unless stated otherwise)

Note 2(c)- Capital work - in - progress (CWIP)

	CWIP
As at 1st April, 2023	347.49
Additions	934.19
Capitalization	1,216.71
As at 31st March, 2024	64.97
Additions	119.13
Capitalization	159.36
As at 31st March, 2025	24.74

Notes:

i) CWIP ageing schedule

Projects in progress

Particulars	Amount in CWIP for a period of				Total
	Less than 1 year	1-2 years	2-3 years	More than 3 years	
As at 31st March, 2024	64.97	-	-	-	64.97
As at 31st March, 2025	24.74	-	-	-	24.74

ii) Actual cost of capital projects in progress has not exceeded the estimated cost and the actual timelines for completion of projects has not exceeded the estimated timelines in respect of the amounts reported above, as at the end of each reporting period. Accordingly, completion schedule is not presented.

iii) CWIP majorly comprises of machinery which are pending installation.

Price Waterhouse Chartered Accountants LLP
LLPIN AAC - 5001
Chartered Accountants
FRN 012754N/N500016
Mumbai

JK FILES & ENGINEERING LIMITED

JK Files & Engineering Limited
CIN: U27104MH1997PLC105955
Notes to the Standalone financial statements for the year ended 31st March, 2025
(All amounts are in Rs. lakhs, unless stated otherwise)

Note 3(a) - Goodwill

Goodwill was recognised on demerger of files and tools division of Raymond Limited into the Company in earlier years. The goodwill is allocated to the single CGU in which the Company operates i.e., tools and hardware.
The carrying amount of goodwill is as follows:

Particulars	As at March 31, 2025	As at March 31, 2024
Goodwill	79.41	79.41
Total	**79.41**	**79.41**

The Company has performed an impairment assessment for year ended March 31, 2025 and March 31, 2024 respectively, and considering profits earned by CGU being significantly higher than carrying amount of goodwill , no impairment on goodwill has been recognised.

Note 3(b)-Other Intangible assets

	Computer Software	Brands / trademarks	Total
Gross carrying amount			
Balance as at 1st April , 2023	**44.96**	**1,125.00**	**1,169.96**
Additions	35.14	-	35.14
Disposals	-	-	-
Balance as at 31st March, 2024	**80.10**	**1,125.00**	**1,205.10**
Additions	3.89	-	3.89
Disposals	-	-	-
Balance as at 31st March, 2025	**83.99**	**1,125.00**	**1,208.99**
Accumulated Amortisation			
Balance as at 1st April , 2023	**44.74**	**1,125.00**	**1,169.74**
Charge for the year	3.46	-	3.46
Disposals/ Adjustments	-	-	-
Balance as at 31st March, 2024	**48.20**	**1,125.00**	**1,173.20**
Charge for the year	8.34	-	8.34
Disposals/ Adjustments	-	-	-
Balance as at 31st March, 2025	**56.54**	**1,125.00**	**1,181.54**
Net carrying amount			
As at 31st March, 2024	**31.90**	**-**	**31.90**
As at 31st March, 2025	**27.45**	**-**	**27.45**

Price Waterhouse Chartered Accountants LLP
LLP No. AAC - 5001
Chartered Accountants
FRN 012754N/N500016
Mumbai

JK FILES & ENGINEERING LIMITED

JK Files & Engineering Limited

CIN: U27104MH1997PLC105955

Notes to the Standalone financial statements for the year ended 31st March, 2025

(All amounts are in Rs. lakhs, unless stated otherwise)

Note 4- Intangible assets under development

	Intangible assets under development
As at 1st April, 2023	-
Additions	-
Capitalization	-
As at 31st March, 2024	-
Additions	108.00
Capitalization	-
As at 31st March, 2025	108.00

Notes:

i) Intangible assets under development ageing schedule

Intangible assets under development

Particulars	Amount in Intangible assets under development for a period of				Total
	Less than 1 year	1-2 years	2-3 years	More than 3 years	
As at 31st March, 2024	-	-	-	-	-
As at 31st March, 2025	108.00	-	-	-	108.00

ii) Actual cost of Intangible assets under development has not exceeded the estimated cost and the actual timelines for completion of projects has not exceeded the estimated timelines in respect of the amounts reported above, as at the end of each reporting period. Accordingly, completion schedule is not presented.

iii) Intangible assets under development comprises of cost pertaining to implementation of computer software.

Price Waterhouse Chartered Accountants LLP
LLPIN AAB-5091
Chartered Accountants
FRN 012754N/N500016
Mumbai

JK FILES & ENGINEERING LIMITED

Note-5 **Investment in subsidiaries**

	As at March 31, 2025	As at March 31, 2024
Unquoted		
Equity instruments at cost		
JK Tubular Limited		
72,48,036 (31st March, 2024 : 72,48,036) Equity Shares of Rs.10 each	724.80	724.80
Balance Engineering Products Limited		
1,01,31,485 (31st March, 2024 : 1,01,31,485) Equity Shares of Rs.10 each	10.05	10.05
Ring Plus Aqua Limited		
69,08,282 (31st March, 2024 : 69,08,282) Equity Shares of Rs.10 each	2,828.19	2,828.19
Total	3,563.04	3,563.04
Aggregate value of unquoted investment	3,563.04	3,563.04
Aggregate amount of impairment in the value of investments	-	-

Note-6 **Loans**	As at March 31, 2025	As at March 31, 2024
Non-current		
Loans to related parties (Refer Note 42 & Note (i) below)	42,600.00	40,100.00
	42,600.00	40,100.00

Notes:
(i) Disclosure as per section 186(4) of the Act

Particulars	Rate of Interest	Due date	As at March 31, 2025	As at March 31, 2024
Ring Plus Aqua Limited	9.85%-9.95%	April 2026 and March 2029	42,600.00	40,100.00
Total Loans to related parties			42,600.00	40,100.00

The Loans has been utilized for meeting their funding requirement for the purpose of business.

(ii) There are no loans or advances in the nature of loans outstanding as at March 31, 2025 and March 31, 2024, granted to promoters, directors, key managerial personnels and other related parties, which are repayable on demand or granted without specifying any terms or period of repayment.

(iii) Break up of security details

	As at March 31, 2025	As at March 31, 2024
Loans considered good - Secured	-	-
Loans considered good - Unsecured	42,600.00	40,100.00
Loans which have significant increase in credit risk	-	-
Loans credit impaired	-	-
Total	42,600.00	40,100.00
Less: Provision	-	-
Total Loans	42,600.00	40,100.00

Note-7 **Other financial assets** **Unsecured, considered good (unless otherwise stated)**	As at March 31, 2025	As at March 31, 2024
Non-current		
Security Deposits	84.39	88.34
Deposits with bank*	307.17	100.00
Interest accrued	877.74	-
Total	1,269.30	188.34

* This includes deposits of Rs.134.17 lakhs (previous year Rs. 100.00 lakhs) with banks as lien against bank guarantees, security to government authorities, letter of credit etc. and deposits of Rs.153 lakhs (previous year Rs.Nil) are encashed for debenture redemption.

	As at March 31, 2025	As at March 31, 2024
Current		
Derivative financial instrument (Refer Note 38)	8.03	8.74
Receivable from Related party (Refer Note 42)	430.30	303.96
Less: Allowance for doubtful receivable	(30.12)	(30.12)
Interest accrued	95.10	11.57
Security Deposits	0.65	0.33
	503.96	294.50

Note-8 **Other non-current assets** **Unsecured, considered good (unless otherwise stated)**	As at March 31, 2025	As at March 31, 2024
Capital advances	-	6.82
Balance with government authorities	114.36	31.66
Total	114.36	38.48

Price Waterhouse Chartered Accountants LLP PAC - 5091 Chartered Accountants FRN 012754N/N500016 Mumbai
JK FILES & ENGINEERING LIMITED

Note-9 **Inventories**
(Cost or Net Realisable value,whichever is lower)

	As at March 31, 2025	As at March 31, 2024
Raw materials	921.29	982.68
Raw material in transit	354.75	358.63
Work-in-progress	1,775.44	2,050.47
Finished goods	2,204.88	2,445.64
Stock-in-trade	1,486.34	1,097.35
Stock-in-trade in transit	54.15	206.70
Stores and spares	355.20	302.67
Total	7,152.23	7,443.14

Write-down of inventories are accounted, considering the nature of inventory, ageing, liquidation plan and net realisable value. Write-down of inventories amounted to Rs. 67.59 lakhs for the year ended 31st March, 2025 (Write-down of Rs. 351.00 lakhs for the year ended 31st March, 2024). These write- downs recognised as expenses and included in 'Raw material consumed', 'Changes in inventories of work in progress, finished goods and stock-in-trade' and 'consumption of stores and spares' in the standalone Statement of Profit and Loss.

Note-10 **Trade receivables**

	As at March 31, 2025	As at March 31, 2024
Related parties (Refer note 42)	16.85	13.93
Other customers	5,567.27	6,018.24
Less: Loss allowances	(260.28)	(195.99)
Total receivables	5,323.84	5,830.18

Break-up of security details

	As at March 31, 2025	As at March 31, 2024
Considered good, Secured	206.70	179.33
Considered good, Unsecured	5,377.42	5,846.84
Which have significant increase in credit risk	-	-
Credit impaired	-	-
Total	5,584.12	6,026.17
Less: Loss allowances	(260.28)	(195.99)
Total trade receivables	5,323.84	5,830.18

Note:
Trade Receivable (considered good) ageing schedule

Particulars	Not Due	Outstanding for following periods from due date of payment					
		Less than 6 months	6 months - 1 year	1-2 years	2-3 years	More than 3 years	Total
As at 31st March, 2025	4,347.60	969.45	97.32	33.31	5.90	140.54	5,584.12
As at 31st March, 2024	4,938.18	892.09	48.88	6.57	1.96	138.58	6,026.17

There are no disputed trade receivables.

Price Waterhouse Chartered Accountants LLP
LLPIN AAC - 5001
Chartered Accountants
FRN 012754N/N500016
Mumbai

JK FILES & ENGINEERING LIMITED

Note-11 Cash and Cash Equivalents

	As at March 31,2025	As at March 31, 2024
Balances with Banks		
- In current accounts	334.37	65.84
- In deposit accounts	-	100.00
Cash on hand	0.11	0.46
Total	334.48	166.30

Note-12 Other current assets

Unsecured, considered good (unless otherwise stated)

	As at March 31, 2025	As at March 31, 2024
Export benefit receivables	193.17	301.43
GST receivable/refundable	1,306.28	735.72
Advances to suppliers	585.90	466.75
Prepaid expenses	120.76	74.27
Other advances	121.00	27.16
Total	2,327.31	1,605.33

Price Waterhouse Chartered Accountants LLP
Firm ID AAC - 5001
Chartered Accountants
FRN 012754N/N500018
Mumbai

JK FILES & ENGINEERING LIMITED

JK Files & Engineering Limited
CIN: U29142MH1997PLC109355
Notes to the **Standalone** financial statements for the year ended 31st **March**, 2025
[All amounts are in Rs. lakhs, unless stated otherwise**]**

Note-13 **Equity Share** capital

	As at March 31, 2025	As at March 31, 2024
Authorized		
[illegible]	[illegible]	[illegible]
[illegible]	[illegible]	[illegible]
Total	[illegible]	[illegible]
Issued, subscribed and fully paid up -Equity Shares		
[illegible]	[illegible]	[illegible]
Issued, subscribed and fully paid up -Preference Shares		
[illegible]	[illegible]	[illegible]
Total	[illegible]	[illegible]

a) **Reconciliation of number of shares outstanding**

	As at March 31, 2025		As at March 31, 2024	
	Number of shares	**Amount**	**Number of shares**	**Amount**
1) Equity Shares				
Balance as at the beginning of the year	[illegible]	[illegible]	[illegible]	[illegible]
Balance as at the end of the year	[illegible]	[illegible]	[illegible]	[illegible]
2) 0.01% Non-Convertible redeemable Preference Shares ("Preference Shares" or "NCRPS")				
Balance as at the beginning of the year	[illegible]	[illegible]	-	-
Add: Preference Shares issued during the year	-	-	[illegible]	[illegible]
Less: Forfeited during the year	[illegible]	[illegible]	[illegible]	[illegible]
Balance as at the end of the year	-	-	-	-
	[illegible]	[illegible]	[illegible]	[illegible]

b) **Right, Preference and Restrictions attached to shares**

1) Equity shares: The Company has only one class of equity shares having par value of [illegible] per share. Each shareholder is entitled to one vote per share. In the event of liquidation of the Company, the holders of equity shares will be entitled to receive [illegible] of the remaining assets of the Company after distribution of all preferential amounts. The distribution will be in proportion to the number of equity shares held by the shareholders.

2) Preference shares: The preference shares ("NCRPS") carry rate of dividend of [illegible]% and they are non-convertible and non-participative in nature. These preference shares are redeemable within [illegible] years at the option of the Company. The NCRPS shall not have any voting rights.

c) **Shares of the Company held by** holding Company

	As at March 31, 2025	As at March 31, 2024
Equity Shares:		
[illegible]	[illegible]	[illegible]
Preference Shares:		
[illegible]	[illegible]	[illegible]

d) **Details of shares held by shareholders holding** more than 5% of the aggregate shares in the Company

Name of Shareholders	As at March 31, 2025		As at March 31, 2024	
	Number of shares	**% of Holding**	**Number of shares**	**% of Holding**
Equity Shares :				
[illegible]	[illegible]	[illegible]%	[illegible]	[illegible]%
Preference Shares :				
[illegible]	[illegible]	[illegible]%	[illegible]	[illegible]%

e) During the 5 years immediately preceding the reporting date, the Company has issued [illegible] bonus shares. Further, the Company has not issued any shares for consideration other than cash or during the five years immediately preceding the reporting date.

f) **Disclosure of Shareholding of Promoters**
Details of the shares of the company are held by its promoter [illegible] and their holding is as per shareholding as at the end of such year referred to in (c) (i) above, hence no separate disclosure is required. Shareholding of promoters:

JK FILES & ENGINEERING LIMITED

Price Waterhouse Chartered Accountants LLP
LLPIN [illegible] 5001
Chartered Accountants
FRN 012754N/N500018
Mumbai

Note 14 Other Equity

Particulars	Reserves & Surplus						Total
	Securities Premium	Capital Reserve	Capital Redemption Reserve	Debenture Redemption Reserve	Equity component of compound financial instruments (Refer Note 25)	Retained Earnings	
Balance as at 1st April, 2023	139.69	2,838.10	2,200.00	-	-	9,954.65	15,132.44
Loss for the year	-	-	-	-	-	(399.10)	(399.10)
Remeasurement of defined benefit obligation, net of tax	-	-	-	-	-	72.36	72.36
Total Comprehensive Income for the year	-	-	-	-	-	(326.83)	(326.83)
Capital contribution by parent	-	0.05	-	-	-	-	0.05
Issue of 0.01% Non-Convertible Redeemable Preference Shares ("NCRPS") (Net of deferred tax of Rs. 1,006.56 lakhs) (Refer Note 15)	-	-	-	-	3,171.58	-	3,171.58
Transfer to /(from)	-	-	-	1,000.00	-	(1,000.00)	-
Balance as at 31st March, 2024	139.69	2,838.15	2,200.00	1,000.00	3,171.58	8,627.82	17,977.24
Profit for the year	-	-	-	-	-	1,355.63	1,355.63
Remeasurement of defined benefit obligation, net of tax	-	-	-	-	-	(35.30)	(35.30)
Total Comprehensive Income for the year	-	-	-	-	-	1,320.33	1,320.33
Transfer to /(from)	-	-	-	(95.20)	-	95.20	-
Balance as at 31st March, 2025	139.69	2,838.15	2,200.00	904.80	3,171.58	9,923.35	19,177.57

Securities Premium
Securities Premium is used to record the premium on issue of shares. The reserve is utilised in accordance with the provision of the Act.

Capital Reserve
Capital Reserve pertains to the transfer by way of delivery, 100% equity share capital of Sciaxes Engineering Product Limited to the Company at Nil consideration.

Capital Redemption Reserve
Capital Redemption Reserve is created on redemption of Non-Convertible Redeemable Preference Shares and it is non-distributable reserve.

Debenture Redemption Reserve
Debenture redemption reserve has been created as required by the provisions of Companies Act, 2013 read with the related rules.

The details of movement in debenture redemption reserve during the year is as below:

Debenture Redemption Reserve (refer note 25)	As at March 31, 2024	As at March 31, 2025
Balance at the beginning of the year	1,000.00	-
Transfer to Debenture redemption reserve from Retained Earnings	-	1,000.00
Transfer from Debenture redemption reserve to Retained Earnings	(95.20)	-
Balance at the end of the year	904.80	1,000.00

Equity component of compound financial instruments
Represents equity component of 0.01% Non-convertible Redeemable Preference Shares (Refer note 25)

JK FILES & ENGINEERING LIMITED

Price Waterhouse Chartered Accountants LLP
LLPIN [illegible]-5001
Chartered Accountants
FRN 012754N/N500016
Mumbai

Note-15 - Non current borrowings

	Terms of Repayment	Interest Rate	As at March 31, 2025	As at March 31, 2024
Secured				
Debentures				
- 9148.01 (March 31, 2024: 10,000,000) Non Convertible Debentures of Rs. 1,000 each Secured by first pari passu charge by the way of hypothecation of the entire movable and immovable fixed assets and second pari passu charge on current assets, both present and future.	Quarterly repayments as per schedule ending on March 07, 2031	9.85% - 9.25%	9,148.01	10,000.00
Total - (A)			9,148.01	10,000.00
Unsecured (From a related party)				
- Loan (Refer Note 42)	Repayable in April 2026 and March 2029	9.85% - 9.25%	25,003.68	23,500.00
- Liability component of compound financial instruments (Refer Note 1 below)*				
5,000,000 (31st March, 2024: 5,000,000) Non-Cumulative 0.01% Redeemable Preference Shares of Rs.100 each *			839.91	764.64
Total - (B)			25,843.59	24,264.64
Total - (A+B)			34,891.59	34,264.64
Less: Current maturities of the long-term debt (included in Current borrowings in Note 18)			1144.00	857.10
Less :- Interest Accrued but not due on borrowings (included in Note 18)			(3.68)	-
			33,743.91	33,312.64

Note- 1
The Company has issued 50 lakh preference shares in the earlier years 0.01% Non-convertible Redeemable Preference Shares ("NCRPS") of Rs.100 each. The Preference Shares are Redeemable within twenty years at option of the Company. The same has been presented in the balance sheet as follows:

Particulars	As at March 31, 2025	As at March 31, 2024
Face value of 0.01% Non-convertible Redeemable Preference Shares ("NCRPS")	5,000.00	5,000.00
Equity component of 0.01% Non-convertible Redeemable Preference Shares ("NCRPS") #	4,337.91	4,337.91
Liability component of 0.01% Non-convertible Redeemable Preference Shares ("NCRPS")	762.09	762.09
Interest expense *	77.83	2.55
Interest paid	-	-
Non-current borrowings	839.91	764.64

* Interest expense is calculated by applying the effective interest rate of 9.50% to the liability component.
The equity component has been presented under other equity net of deferred tax of Rs 1,066.66 lakhs.

Note 2:- The carrying amounts of financial and non-financial assets as security for secured borrowings are disclosed in Note 35 - Assets pledged as security.





Note 16 - Current borrowings

	Terms of repayments	Interest Rate	As at March 31, 2025	As at March 31, 2024
Loans repayable on demand				
Secured				
From banks				
- Cash Credit	Repayable on demand	8.70% - 10.10%	-	1,800.93
- Banking avail				
- in Indian Rupee	Single repayment at end of term	8.20%	-	300.00
- Working Capital Demand Loan (WCDL)	Repayable on demand	8.25%	500.23	-
(The above borrowings are secured by way of first pari passu charge on all current assets of the Company)				
Current maturities of the Long-term borrowing (Included in Note 15)			1,444.00	932.00
Unsecured				
From Financial Institutions				
-Channel Financing (Refer Note iv below)	Repayable on demand	-	109.27	126.40
Total current borrowings			2,053.50	3,079.33
Less: Interest accrued but not due on borrowings (included in Note 18)			(0.23)	(1.47)
Total			2,053.27	3,077.86

(i) The carrying amounts of financial and non-financial assets as security for secured borrowings are disclosed in Note 35 - Assets pledged as security

(ii) In respect of borrowings made from Banks on the basis of security of current assets, quarterly returns or statements of current assets filed by the Company with banks are in agreement with the books of accounts in respect of both years referred above and there are no material discrepancies found.

(iii) The above borrowings have been utilized by the Company for the purpose for which they have been obtained (Refer Note 46)

(iv) The Company has availed Channel Financing arrangement for its customers from a financial institution, for which it has provided a first loss default guarantee. As per the terms of this facility, should the customers default in making payment, the contractual first loss default guarantee of 15% will be invoked on the Company by the financial institution.

Net debt reconciliation	As at March 31, 2025	As at March 31, 2024
Cash and cash equivalents	(234.48)	(106.38)
Long term Borrowings	33,783.99	33,312.64
Current Borrowings	1,053.77	3,077.86
Interest accrued but not due on Non Current borrowings	3.68	-
Interest accrued but not due on Current borrowings	0.23	1.47
Lease liabilities	1,604.09	1,242.91
Net debt	36,770.70	36,468.58

	Cash and Cash equivalents	Lease Liabilities	Current borrowings (including current maturities and interest accrued)	Long borrowings (including interest accrued)	Total
Net Debt as at April 1, 2023	170.38	1,428.09	737.47	-	1,994.75
Other non-cash movements					
-Recognition of equity component of compound financial instruments (Refer to NCRPS)	-	-	-	(4,232.77)	(4,232.77)
-Reclassification of current maturities	-	-	932.00	(932.00)	-
-Unwinding of Interest on compound financial instruments	-	-	-	(2.58)	(2.58)
-Cash flows	(63.1)	(285.18)	1,390.60	37,447.48	38,707.07
-Interest expense	-	136.10	201.98	182.73	580.71
-Interest paid	-	(136.02)	(262.42)	(180.13)	(578.57)
Net Debt as at March 31, 2024	160.30	1,242.91	3,079.33	32,302.64	36,468.58
Other non-cash movements					
-Reclassification of current maturities	-	-	1,144.00	(1,144.00)	-
-Unwinding of Interest on compound financial instruments	-	-	-	(75.27)	(75.27)
-Cash flows	168.18	(285.27)	(2,468.21)	2,578.16	(293.30)
-New leases	-	1,006.12	-	-	1,006.12
-Lease termination	-	(479.37)	-	-	(479.37)
-Interest expense	-	175.99	486.24	3,947.33	3,609.58
-Interest paid	-	(175.98)	(187.48)	(3,172.08)	(3,535.55)
Net Debt as at March 31, 2025	328.48	1,604.09	4,053.50	33,747.89	36,770.70

Price Waterhouse Chartered Accountants LLP - 5091 Chartered Accountants FRN 012754N/N500016 Mumbai

JK FILES & ENGINEERING LIMITED

Note-17 - Trade payables

	As at March 31, 2025	As at March 31, 2024
- Trade payables: micro and small enterprises(MSME) (Refer note 32)	299.64	360.27
- Trade payables: others *	5,091.31	5,058.14
Total	**5,390.95**	**5,418.41**

* Refer note 42 for Trade payables to related parties

Note:

Trade Payable ageing schedule

Particulars	Unbilled dues	Not Due	Outstanding for following periods from due date of payment				
			Less than 1 year	1-2 years	2-3 Years	More than 3 years	Total
As at March 31, 2025							
(i) MSME	-	189.61	110.03	-	-	-	299.64
(ii) Others	1,554.51	1,334.28	2,160.66	14.77	25.63	1.46	5,091.31
Total	1,554.51	1,523.89	2,270.69	14.77	25.63	1.46	5,390.95

Particulars	Unbilled dues	Not Due	Outstanding for following periods from due date of payment				
			Less than 1 year	1-2 years	2-3 Years	More than 3 years	Total
As at March 31, 2024							
(i) MSME	-	209.99	150.28	-	-	-	360.27
(ii) Others	1,632.57	792.45	2,572.14	39.12	20.29	1.57	5,058.14
Total	1,632.57	1,002.44	2,722.42	39.12	20.29	1.57	5,418.41

There are no disputed trade payables.

house Chartered Accounts
LLPIN AAC - 5001
Chartered Accountants
FRN 012754N/N500...
Mumbai
JK FILES & ENGINEERING LIMITED

Note-18 - Other financial liabilities

	As at March 31, 2025	As at March 31, 2024
Non-current		
Interest accrued but not due on borrowings (Refer note 42)	3.68	-
Total	**3.68**	**-**

	As at March 31, 2025	As at March 31, 2024
Current		
Interest accrued but not due on borrowings	0.23	1.47
Capital creditors	9.28	3.94
Deposits from dealers, agents etc.	561.25	537.08
Employee Benefits payable	1,086.11	942.18
Other payables	21.69	12.17
Total	**1,678.56**	**1,496.84**

Refer Note-39 for information about Liquidity risk of Financial Liabilities

Note-19 - Provisions

	As at March 31, 2025	As at March 31, 2024
Provision for employee benefits (Refer note 31)		
-Gratuity	125.78	15.41
-Compensated absences	289.64	264.84
Total	**415.42**	**280.25**

Note 20 -Other Current liabilities

	As at March 31, 2025	As at March 31, 2024
Contract Liabilities *	410.39	459.29
Advance received #	1,950.00	550.00
Statutory dues payable	175.41	293.22
Refund Liabilities	50.24	37.23
Stamp Duty Payable	28.00	28.00
Total	**2,614.04**	**1,367.74**

* Contract liabilities reflect advance payments from customers. These are amounts received prior to transferring goods and services to the customer. The balance as at the beginning of the year is recognised as revenue during the year while the amount recognised as at the end of the year represents advance payments received during the respective year.

Advance received against sale of building and rights in leasehold land. Since the assets against which such advance has been received do not meet the definition of "Asset held for sale" as per the requirements of Ind AS 105 "Non-current Assets Held for Sale and Discontinued Operations", the same has been classified under Property, Plant and Equipment and Right of use assets, respectively, as at March 31, 2025 and March 31, 2024.

Price Waterhouse Chartered Accountants LLP
LLPIN AAC-5001
Chartered Accountants
FRN 012754N/N500016
Mumbai

JK FILES & ENGINEERING LIMITED

Note-21 Revenue from Operations

	Year ended 31st March, 2025	Year ended 31st March, 2024
Revenue from contract with customers		
Sale of Products - recognised at a point in time		
(i) Manufactured goods - Domestic	16,652.26	18,890.88
(ii) Manufactured goods - Export	19,606.33	17,530.36
(iii) Stock in trade - Domestic	4,711.07	5,557.35
(iv) Stock-in trade - Export	276.56	535.00
Total (A)	**42,036.22**	**42,513.59**
Sale of Services - recognised over a period of time	293.44	148.11
Total (B)	**293.44**	**148.11**
Revenue from contracts with customers (C= A+B)	**42,329.66**	**42,661.70**
Other operating revenue		
(i) Export Incentives	476.90	396.89
(ii) Process waste sale	364.14	414.37
Total (D)	**841.04**	**811.26**
Total (C + D)	**43,170.70**	**43,472.96**

Notes:
(i) Disaggregation of revenue from contracts with customers
The Company derives revenue from the transfer of goods and services in the following geographical regions:

	Year ended 31st March, 2025	Year ended 31st March, 2024
India	21,663.34	24,448.93
Africa	6,384.73	5,702.41
America	8,997.67	7,743.02
Asia (excluding India)	3,665.98	3,369.81
Europe	1,708.14	1,398.53
Total	**42,329.66**	**42,661.70**

The Company derives revenue from the transfer of following goods and services:

	Year ended 31st March, 2025	Year ended 31st March, 2024
Files	24,549.73	23,284.32
Drills	10,418.34	11,401.76
Hand tools and power tool accessories	3,437.71	4,438.11
Power tool machines	1,842.09	1,630.18
Others	1,999.35	1,759.20
Sale of Products (A)	**42,036.22**	**42,513.59**
Sale of Services (B)	293.44	148.11
Revenue from contracts with customers (A + B)	**42,329.66**	**42,661.70**

Price Waterhouse Chartered Accountants LLP LLPIN AAB-5061 Chartered Accountants FRN 012754N/N500016 Mumbai

JK FILES & ENGINEERING LIMITED

(ii) Unsatisfied performance obligations resulting from revenue from contracts with customers

	Year ended 31st March, 2025	Year ended 31st March, 2024
Aggregate amount of the transaction price allocated to sale contracts that are partially or fully unsatisfied	4.88	22.30
	4.88	22.30

(iii) Reconciliation of revenue recognised with contract price:

	Year ended 31st March, 2025	Year ended 31st March, 2024
Contract price	44,917.28	45,335.70
Adjustments for :		
Refund liabilities - discounts, rebates, sales related schemes, incentives etc.	(1,587.60)	(1,674.00)
Revenue from contract with customers	**43,329.68**	**43,661.70**

Price Waterhouse Chartered Accountants LLP
LLP - BAC - 5001
Chartered Accountants
FRN 012754N/N500016
Mumbai

JK FILES & ENGINEERING LIMITED

Note-22 Other income

	Year ended 31st March, 2025	Year ended 31st March, 2024
Interest income		
- on financial assets at amortised cost	3,883.58	274.46
- on income tax refund	48.47	-
Liabilities no longer required write back	57.02	-
Net gain on foreign exchange fluctuations	-	15.80
Net gain on disposal/discard of property, plant and equipment	5.78	-
Net gain on sale of investments	-	159.91
Gain on termination of lease	87.13	-
Miscellaneous Income	40.33	41.09
Total	**4,222.41**	**490.86**

Note-23 Cost of raw materials consumed

	Year ended 31st March, 2025	Year ended 31st March, 2024
Raw material at the beginning of the year	1,342.31	872.53
Purchases	14,362.93	14,846.91
Less : Raw material at the end of the year	1,276.04	1,342.31
Total	**14,429.20**	**14,377.13**

Note-24 Purchases of Stock-in-Trade

	Year ended 31st March, 2025	Year ended 31st March, 2024
Purchases of Stock-in-Trade	4,194.54	5,018.09
Total	**4,194.54**	**5,018.09**

Note-25 Changes in inventories of work-in-progress , finished goods and stock-in-trade

	Year ended 31st March, 2025	Year ended 31st March, 2024
Opening Inventories		
Work-in-progress	2,050.47	2,185.78
Finished goods	2,445.64	2,256.35
Stock-in-trade	1,304.05	1,123.89
	5,800.16	**5,566.02**
Closing Inventories		
Work-in-progress	1,775.44	2,050.47
Finished goods	2,204.88	2,445.64
Stock-in-trade	1,340.67	1,304.05
	5,320.99	**5,800.16**
Total	**479.17**	**(234.14)**

Price Waterhouse Chartered Accountants LLP
FRN 012754N/N500016
Mumbai
JK FILES & ENGINEERING LIMITED

Note-26 Employee benefits expense

	Year ended 31st March, 2025	Year ended 31st March, 2024
Salaries, wages, bonus etc.	4,872.26	4,839.01
Gratuity Expense (Refer Note 31)	93.01	112.15
Contribution to provident and other funds (Refer Note 31)	267.57	274.61
Workmen and Staff welfare expenses	313.00	430.65
Total	**5,425.84**	**5,656.42**

Note-27 Finance costs

	Year ended 31st March, 2025	Year ended 31st March, 2024
Interest expense		
- Term loans (including debentures)	3,172.08	180.13
- Lease obligations	175.99	136.02
- Current borrowings	186.24	172.88
- Others	61.98	37.32
Unwinding of interest on liability component of compound financial instrument	75.27	2.58
Exchange difference regarded as adjustment to borrowing cost	6.31	-
Other borrowing costs	35.02	51.78
Total	**3,712.89**	**580.71**

Note-28 Depreciation and amortization expense

	Year ended 31st March, 2025	Year ended 31st March, 2024
Depreciation on property, plant and equipment	658.22	660.46
Depreciation on right-of-use asset	201.83	200.98
Amortization on intangible assets	8.34	3.46
Total	**868.39**	**864.90**

Note-29 Other Expenses

(a) Manufacturing and Operating expenses

	Year ended 31st March, 2025	Year ended 31st March, 2024
Consumption of stores and spare parts	3,141.09	3,069.27
Power and fuel	1,771.30	1,237.83
Job work charges	4,560.85	4,306.28
Payment to labour contractor	1,927.89	1,770.87
Repairs to buildings	17.27	58.06
Repairs to machinery	272.69	268.58
Other Manufacturing and Operating expenses	307.00	370.19
Total (A)	**11,472.19**	**11,001.09**

Price Waterhouse Chartered Accountants LLP
LLPAAC - 5901
Chartered Accountants
FRN 012754N/N500016
Mumbai

JK FILES & ENGINEERING LIMITED

(b) Other expenses

	Year ended 31st March, 2025	Year ended 31st March, 2024
Rent	256.01	213.37
Insurance	101.72	97.90
Repairs & Maintenance - Others	80.10	97.80
Rates and Taxes	125.19	106.82
Commission to selling agents	802.38	858.29
Freight expenses	1,179.86	1,109.38
Legal and Professional Expenses	440.20	347.12
IT outsourced Support Services	875.73	220.76
Travelling & Conveyance	458.27	482.41
Advertisement and Sales Promotion expenses	349.85	430.03
Director sitting fees & Commission (Refer note 42)	32.00	26.50
Net loss on disposal/discard of property, plant and equipment	-	5.37
Facility Charges (Refer note 42)	428.09	446.67
Net Loss on foreign exchange fluctuations	5.08	-
Corporate Social Responsibility (Refer note 43)	85.00	98.00
Software expenses	95.20	93.08
Security charges	95.06	90.46
Communication expenses	60.86	50.00
Printing and stationery expenses	33.72	31.33
Motor car expenses	31.95	32.11
Miscellaneous expenses	256.76	268.87
Total (B)	5,292.64	5,146.37
Total (A+B)	16,764.73	16,147.56

(c) Details of payment to auditors included in legal and professional expenses

	Year ended 31st March, 2025	Year ended 31st March, 2024
Payment to auditors		
a) Audit fees	25.00	19.25
b) Limited Review	16.00	6.25
c) Certification Fees	1.30	2.50
d) Reimbursement of out-of-pocket expenses	1.36	0.61
Total payments to auditors	44.66	28.46

(d) Corporate social responsibility expenditure

	Year ended 31st March, 2025	Year ended 31st March, 2024
Amount required to be spent by the Company during the year	85.00	98.00
Amount of expenditure incurred	85.00	98.00
Amount of shortfall for the year	-	-
Amount of cumulative shortfall at the end of the year	-	-

Refer Note 43

Price Waterhouse Chartered Accountants LLP
LLP No. AAC - 5001
Chartered Accountants
FRN 012754N/N500016
Mumbai

JK FILES & ENGINEERING LIMITED

Note 30(a): Income Taxes

Tax expense recognised in the Statement of Profit and Loss

	As at March 31, 2025	As at March 31, 2024
Current tax		
Current year	132.55	304.43
Tax in respect of earlier years	(31.09)	-
Total current tax	**401.40**	**304.43**
Deferred tax		
Deferred tax charge/ (Credit)	26.97	(388.60)
Total deferred tax	**26.97**	**(388.60)**
Total tax expense/(credit)	**428.43**	**(84.17)**

A reconciliation between the statutory income tax rate applicable to the Company and the effective income tax rate of the Company is as follows :

Reconciliation of effective tax rate	As at March 31, 2025	As at March 31, 2024
Profit before tax	1,664.06	(483.36)
Applicable income tax rate	**25.17%**	**25.17%**
Tax Expense at applicable income tax rate	416.89	(121.65)
Tax effect of the amounts which are not deductible/(taxable) in calculating taxable income		
Tax effect of the amounts which are not deductible/(taxable) in calculating taxable income	43.23	39.82
Tax in respect of earlier years	(31.09)	-
Others	-	(2.34)
Total income tax expense	**428.43**	**(84.17)**

Consequent to reconciliation items shown above, the effective tax rate is 25.30% (31st March,2024:17.41%)

Note 30(b): Income tax assets (net) - non-current

	As at March 31, 2025	As at March 31, 2024
Income tax assets (net of provision of Rs. 2,006.10 Lakhs (March 31, 2024: Rs. 3,290.07 Lakhs))	539.23	252.77
	539.23	**252.77**

Note 30(c): Income tax assets (net) -Current

	As at March 31, 2025	As at March 31, 2024
Income tax assets (net of provision of Rs. 280.00 Lakhs (March 31, 2024: Rs. 1,080.63 Lakhs)	4.17	132.33
	4.17	**132.33**





Note 30(d): Deferred tax assets (net)

The movement in deferred tax assets and liabilities during the year ended 31st March , 2025

Particulars	As at 1st April, 2024	(Credit)/charge in Other Equity	Credit/(charge) in Statement of Profit and Loss	As at 31st March , 2025
Deferred tax assets on account of :				
Amounts allowable for tax purpose on payment basis	70.24	-	2.65	72.89
Allowances for doubtful receivable and advances	61.94	-	16.18	78.12
Amount paid under voluntary retirement scheme	358.50	-	(69.57)	288.93
Lease Liabilities	312.83	-	80.90	393.73
	803.51	-	30.14	843.65
Deferred tax (liabilities) on account of:				
Property plant and equipment and intangible assets	(216.98)	-	37.85	(179.13)
Right-of-use Assets	(301.25)	-	(103.70)	(404.95)
Equity component of compound financial instruments	(1,066.56)	-	-	(1,066.56)
Unwinding of interest on preference shares	0.65	-	18.92	19.57
	(1,484.14)	-	(47.11)	(1,531.25)
Total	(680.63)	-	(16.97)	(707.60)

The movement in deferred tax assets and liabilities during the year ended 31st March , 2024

Particulars	As at 1st April, 2023	(Credit)/charge in Other Equity	Credit/(charge) in Statement of Profit and Loss	As at 31st March , 2024
Deferred tax assets on account of :				
Amounts allowable for tax purpose on payment basis	90.83	-	(20.59)	70.24
Allowances for doubtful receivable and advances	55.92	-	6.02	61.94
Amount paid under voluntary retirement scheme	-	-	358.50	358.50
Lease Liabilities	359.47	-	(46.64)	312.83
	506.22	-	297.29	803.51
Deferred tax (liabilities) on account of:				
Property plant and equipment and intangible assets	(258.61)	-	41.63	(216.98)
Right-of-use Assets	(250.30)	-	(50.95)	(301.25)
Equity component of compound financial instruments	-	(1,066.56)	-	(1,066.56)
Unwinding of interest on preference shares	-	-	0.65	0.65
	(508.91)	(1,066.56)	91.33	(1,484.14)
Total	(2.69)	(1,066.56)	388.62	(680.63)

JK FILES & ENGINEERING LIMITED

Price Waterhouse Chartered Accountants LLP
LLPIN AAC - 5001
Chartered Accountants
FRN 012754N/N500016
Mumbai

Note 31: Post retirement benefit plans

i) Defined benefit plans - Gratuity

The Company provides for gratuity for employees in India as per the Payment of Gratuity Act, 1972. Employees who are in continuous service for a period of 5 years are eligible for gratuity. The amount of gratuity payable on retirement/termination is the employee's last drawn basic salary per month computed proportionately for 15 days salary multiplied by the number of years of services, subject to ceiling of Rs. 20 lakhs . The gratuity plan is funded plan and the Company makes contributions to recognised fund in India.

The amount recognised in the balance sheet and the movements in the net defined benefit obligation over the year are as below:

A. Balance Sheet

	As at 31st March, 2025	As at 31st March , 2024
Present value of defined benefit obligation	(1,697.55)	(1,656.00)
Fair value of plan assets	1,571.77	1,637.59
Net defined benefit obligation	(125.78)	(18.41)

B. Movements in plan assets and plan liabilities

	As at March 31, 2025			As at 31st March ,2024		
	Plan liabilities	Plan Assets	Net	Plan liabilities	Plan Assets	Net
As at beginning of the year	**(1,656.00)**	**1,640.59**	**(15.41)**	**(2,134.22)**	**2,092.07**	**(42.15)**
Current service cost (including past service cost)	(91.60)	-	(91.60)	(107.53)	-	(107.53)
Interest (cost)/Income	(119.40)	118.29	(1.11)	(160.27)	155.85	(4.42)
Remeasurements:						
Return on plan assets excluding actual return on plan asset	-	(0.17)	(0.17)	-	(31.99)	(31.99)
Gain/(loss) arising from changes in financial assumptions	(39.51)	-	(39.51)	(21.22)	-	(21.22)
Gain/(loss) arising from experience adjustments	5.87	-	5.87	149.90	-	149.90
Employer contributions	-	16.45	16.45	-	62.20	62.20
Benefit payments	203.39	(203.39)	-	637.34	(637.34)	-
As at end of the year	(1,697.55)	1,571.77	(125.78)	(1,656.00)	1,640.59	(15.41)

The present value of obligation at each balance sheet date above relates to active employees.

The liabilities are split between different categories of plan participants as follows:
- Active members - 2024-25: 653 Nos. (2023-24:649 Nos.)
- Deferred members -2024-25 Nil (2023-24 Nil)
- Retired members - 2024-25 Nil (2023-24 Nil)

C. The Company expects to contribute Rs. 190.08 lakhs to the funded plans in financial year 2025-26 (2024-25 Rs 107.51 lakhs) for gratuity.

JK FILES & ENGINEERING LIMITED

Price Waterhouse Chartered Accountants LLP
LLPIN/FRC - 5001
Chartered Accountants
FRN 012754N/N500016
Mumbai

JK Files & Engineering Limited
CIN: U27104MH1997PLC105955
Notes to the Standalone financial statements for the year ended 31st March, 2025

D. Statement of Profit and Loss

	Year ended 31st March, 2025	Year ended 31st March, 2024
Employee Benefit Expenses:		
Current service cost (including past service cost)	91.80	107.53
Interest Cost	91.80	107.53
Net Impact on the Profit before tax	1.11	1.62
	93.01	113.15
Remeasurement of the net defined benefit liability:		
Return on plan assets excluding actual return on plan assets	(6.17)	(21.93)
Gain/(Loss) arising from changes in financial assumptions	(19.81)	(21.33)
Gain/(Loss) arising from experience adjustments	5.87	149.90
Net impact on the Other Comprehensive Income before tax	(13.81)	106.64

E. Assets

	As at 31st March, 2025	As at 31st March, 2024
Insurer managed fund	1,571.77	1,640.56
Total	1,571.77	1,640.56

F. Significant Estimate: Actuarial assumptions

With the objective of presenting the plan assets and plan liabilities of the defined benefits plans and post retirement benefits at their fair value on the balance sheet, assumptions under Ind AS 19 are set by reference to market conditions at the valuation date.

The significant actuarial assumptions were as follows:

	As at 31st March, 2025	As at 31st March, 2024
Financial Assumptions		
Discount rate	6.79%	7.21%
Salary Escalation Rate	7.50%	7.50%
Attrition rate	2.00%	2.00%
Return on plan assets	6.79%	7.21%

Demographic Assumptions

Mortality in Service : Indian Assured Lives Mortality 2012-14 (Urban)

JK FILES & ENGINEERING LIMITED

Price Waterhouse Chartered Accountants LLP - 5091 Chartered Accountants FRN 012754N/N500016 Mumbai

G. Sensitivity

The sensitivity of the overall plan liabilities to changes in the weighted key assumptions are:

		As at 31st March, 2025		As at 31st March, 2024	
	Change in assumption	Increase in assumption having an impact on present value of plan liability	Decrease in assumption having an impact on present value of plan liability	Increase in assumption having an impact on present value of plan liability	Decrease in assumption having an impact on present value of plan liability
Discount rate	1%	(90.61)	103.71	(87.95)	100.03
Salary Escalation Rate	1%	99.97	(87.56)	93.90	(85.66)
Attrition rate	1%	(3.42)	3.97	(1.94)	2.12

The sensitivity analyses above have been determined based on reasonably possible changes of the respective assumptions occurring at the end of the reporting period and may not be representative of the actual change. It is based on a change in the key assumption while holding all other assumptions constant. When calculating the sensitivity to the assumption, the same method used to calculate the liability recognised in the balance sheet has been applied. The methods and types of assumptions used in preparing the sensitivity analysis did not change compared with the previous year.

H. The defined benefit obligations shall mature after year end 31st March, 2025 as follows:

Gratuity :	Defined benefit obligation	
	As at 31st March, 2025	As at 31st March, 2024
1st year	220.56	190.44
2nd year	190.58	126.60
3rd year	192.80	256.79
4th year	257.91	180.66
5th year	226.54	270.22
Thereafter	1,702.68	1,846.89

Risk Exposure

Interest rate risk: A fall in the discount rate which is linked to the G Sec. Rate will increase the present value of the liability requiring higher provision. A fall in the discount rate generally increases the mark to market value of the assets depending on the duration of asset.

Salary Risk: The present value of the defined benefit plan liability is calculated by reference to the future salaries of members. As such, an increase in the salary of the members more than assumed level will increase the plan's liability.

Asset volatility Risk:

The present value of the defined benefit plan liability is calculated using a discount rate which is determined by reference to market yields at the end of the reporting period on government bonds. If the return on plan asset is below this rate, it will create a plan deficit. These are subject to interest rate risk and the fund manages interest rate risk to an acceptable level.

Mortality risk: Since the benefits under the plan is not payable for life time and payable till retirement age only, plan does not have any longevity risk.

Concentration Risk: Plan is having a concentration risk as all the assets are invested with the insurance Company and a default will wipe out all the assets. Although probability of this is very less as insurance companies have to follow regulatory guidelines.

(ii) Defined contribution plans :

The Company also has certain defined contribution plans. Contributions are made to provident fund, employee's state insurance scheme etc in India for employees. The contributions are made to registered fund administered by the government. The obligation of the Company is limited to the amount contributed and it has no further contractual nor any constructive obligation. The expense recognised during the year towards defined contribution plan is Rs 287.57 Lakhs. (31st March, 2024 Rs 274.01 Lakhs)

(iii) Compensated absences:

The provision for compensated absences cover the Company's liability for sick and earned leave.

The amount of the provision of Rs 289.64 Lakhs for 31st March, 2025 (Rs 264.84 lakhs for 31st March, 2024) is presented as current, since the Company does not have an unconditional right to defer settlement for any of these obligations.

JK FILES & ENGINEERING LIMITED

Price Waterhouse Chartered Accountants LLP
LLPIN/FRC - 5001
Chartered Accountants
FRN 012754N/N500016
Mumbai

Note-32 The disclosure pursuant to the Micro, Small and Medium Enterprises Development Act, 2006 are as follows.

	As at March 31, 2025	As at March 31, 2024
Principal amount due to suppliers registered under MSMED Act and remaining unpaid as at year end	230.29	358.34
Interest due thereon to suppliers registered under the MSMED Act and remaining unpaid as at the year end	-	1.93
Principal Amounts paid to suppliers registered under the MSMED Act, beyond the appointed date during the year	864.42	-
Interest paid, other than under section 16 of the MSMED Act, to suppliers registered under the MSMED Act, beyond the appointed day during the year	-	-
Interest paid, under section 16 of the MSMED Act, to suppliers registered under the MSMED Act, beyond the appointed date during the year	1.93	-
Amount of interest due and payable for the period of delay in making payment (which have been paid but beyond the appointed day during the year) but without adding the interest specified under the MSMED Act	7.35	-
Interest accrued and remaining unpaid at the end of each accounting year	7.35	1.93
Amount of further interest remaining due and payable even in the succeeding years, until such date when the interest dues above are actually paid to the small enterprise, for the purpose of disallowance of deductible expenditure under section 23 of the MSMED Act	-	-

Note 33: Social security code

The Code on Social Security, 2020 ('Code') relating to employee benefits during employment and post employment received Indian Parliament approval and Presidential assent in September 2020. The Code has been published in the Gazette of India. However, the date on which the Code will come into effect has not been notified. The Company will assess the impact of the Code when it comes into effect and will record any related impact in the year the Code becomes effective.

Note 34: Earnings per share

		Year ended 31st March, 2025	Year ended 31st March, 2024
Basic Earnings Per Share has been computed as under:			
Profit for the year	A	1,225.63	(399.09)
Weighted average number of equity shares for basic EPS (in nos.)	B	3,94,43,948	3,94,43,948
Earnings Per Share (Rs.)	A/B	3.11	(1.76)
Diluted			
Profit for the year	C	1,225.63	(399.09)
Weighted average number of equity shares outstanding for basic EPS (in nos.)		3,94,43,948	3,94,43,948
Weighted average number of equity shares for dilutive EPS	D	3,94,43,948	3,94,43,948
Dilutive Earnings Per Share (Rs.)	C/D	3.11	(1.76)
Nominal value per equity share (in Rs.)		10.00	10.00

Price Waterhouse Chartered Accountants LLP
LLPIN AAC - 5001
Chartered Accountants
FRN 012754N/N500016
Mumbai

JK FILES & ENGINEERING LIMITED

Note 35 : Assets pledged as security

The carrying amounts of assets pledged as security are:

	As at March 31, 2025	As at March 31, 2024
Current Assets		
Floating Charge		
Trade receivables	5,373.81	5,891.16
Inventories	7,152.23	7,443.14
Cash and bank balances	334.48	866.30
Others financial assets	213.68	264.83
Other current assets	2,223.32	1,909.33
Total Current assets given as security	**15,853.54**	**15,201.78**
Non Current Assets		
First Charge		
Building	807.30	869.58
Plant and machinery	2,566.14	2,976.89
Furniture & fixtures	30.30	33.51
Vehicles	18.38	22.89
Office equipment	18.68	22.62
Computers	93.21	88.04
Right of use assets	148.04	103.04
Capital work - in - progress	24.74	64.97
Total non-current assets given as security	**3,697.29**	**4,324.44**
Total assets pledged as security	**19,550.84**	**19,435.92**

The charge created on current assets, movable fixed assets and immovable assets provided as security for the non-convertible debentures which is in the process of being registered with the Registrar of Companies. Except for this, there are no other charges or satisfaction which are yet to be registered with the Registrar of Companies beyond the statutory period.

Note 36: Contingent liabilities (to the extent not provided for)

	As at March 31, 2025	As at March 31, 2024
Contingent Liabilities		
(i) Claims against the Company not acknowledged as debts in respect of:		
Income Tax Matters	34.58	34.58
Sales tax Matters	21.35	21.35
Excise and service tax Matters	26.38	26.38
Goods and Service Tax Matters	1,581.88	37.26
Other Matters	94.92	130.05

(ii) The Supreme Court of India, through a ruling in February 2025, provided guidelines for interpreting the scope of compensation on which the organisation and its employees are to contribute towards Provident Fund. There is significant uncertainty and ambiguity in interpreting and giving effect to the guidelines of Supreme Court. The Company believes that there will be no significant impact on its contributions to Provident Fund due to the Supreme Court Order. The Company will evaluate its position and set an clarity emerges on impact of the ruling.

The amount shown in respect of above items represent the best possible estimates arrived at on basis of available information. The uncertainties are dependent on the outcome of different legal process. The timing of cash flows will be determinable only on receipt of judgement / decisions pending with various forums/ authorities.

The Company does not expect any reimbursements in respect of the above contingent liabilities.

Note 37: Commitments

Capital Commitments

Capital expenditure contracted for at the end of the reporting period but not recognised as liabilities is as follows:

	As at March 31, 2025	As at March 31, 2024
Property, plant and equipment	128.10	634.37
Less: Capital advances	-	6.86
Property, plant and equipment (Net of capital advances)	**128.10**	**627.51**

Price Waterhouse Chartered Accountants LLP
LLPIN AAC - 5001
Chartered Accountants
FRN 012754N/N500016
Mumbai

JK FILES & ENGINEERING LIMITED

Note 38: Fair Value measurement

Financial instruments by category

	As at March 31, 2025		As at March 31, 2024	
	FVPL	Amortised Cost	FVPL	Amortised Cost
Financial Assets				
Loans	-	40,000.00	-	40,000.00
Derivative Financial instruments	9.45	-	8.74	-
Other Financial Assets	-	1,280.82	-	565.81
Trade receivable	-	5,323.84	-	5,831.08
Cash and Cash equivalents	-	334.48	-	165.90
	9.45	46,939.14	8.74	46,562.79
Financial Liabilities				
Borrowings	-	38,497.08	-	35,381.50
Trade Payables	-	3,599.93	-	5,478.41
Other Financial Liabilities	-	1,078.59	-	1,435.84
	-	43,175.60	-	42,295.75

Fair value hierarchy

Financial assets and liabilities measured at fair value - recurring fair value measurements	As at March 31, 2025		As at March 31, 2024	
	Level 1	Level 2	Level 1	Level 2
Financial Assets				
Derivative Financial instruments	-	9.45	-	8.74
Total financial assets	-	9.45	-	8.74
Financial Liabilities				
Total financial liabilities	-	-	-	-

Financial instruments by category

The fair values of the financial assets and liabilities are included at the amount at which the instrument could be exchanged in a current transaction between willing parties, other than in a forced or liquidation sale.

The following methods and assumptions were used to estimate the fair values:

1. Fair value of trade receivables, cash and cash equivalents, other current financial asset (other than derivative), trade payable , Current borrowings and other current financial liabilities approximate their carrying amounts largely due to short term maturities of these instruments.

2. Financial instruments with fixed and variable interest rates are evaluated by the Company based on parameters such as interest rates and individual credit worthiness of the counterparty. Based on this evaluation, allowances are taken to account for expected losses of these receivables. Accordingly, fair value of such instruments is not materially different from their carrying amounts.

3. For financial assets and liabilities that are measured at fair value, the carrying amounts are equal to the fair values.

4. All borrowings of the Company carry variable rate of interest and hence, the fair value of such instruments is equivalent to their carrying amounts.

5. In respect of loans given, which are subject to market driven rate of interest, fair values are considered to be their carrying values. Further, with respect to non-current security and other deposits, considering the amounts involved are not significant, the fair values of such instruments are not materially different from their carrying amounts.

The Company uses the following hierarchy for determining and disclosing the fair value of financial instruments by valuation technique:

Level 1: quoted (unadjusted) prices in active markets for identical assets or liabilities.
Level 2: other techniques for which all inputs which have a significant effect on the recorded fair value are observable, either directly or indirectly.
Level 3: techniques which use inputs that have a significant effect on the recorded fair value that are not based on observable market data.

JK FILES & ENGINEERING LIMITED

Walkerhouse Chartered Accountants LLP
LLPIN - AAC - 5001
Chartered Accountants
FRN 012754N/N500016
Pune ★ Mumbai ★

Note 39: Financial risk management objectives

The Company's activities expose it to credit risk, liquidity risk and market risk. The Company's financial risk management process seeks to enable the early identification, evaluation and effective management of key risks facing the business. The Company financial risk management is set by the Working Board comprising of MD, CFO and various heads of the businesses. The policies and procedures issued by appropriate authorities, process of regular internal reviews, models to set appropriate risk limits and controls are established by higher authorities and approved by senior management. This note explains the sources of risk which the Company is exposed to and how the Company manages the risk and the related impact in the standalone financial statements.

A) Market Risk

Market risk is the risk that the fair value of future cash flows of a financial instrument will fluctuate because of changes in market prices. Market prices comprise three types of risk: interest rate risk, foreign currency risk and price risk. The Company has in place appropriate risk management policies to limit the impact of these risks on its financial performance. The Company ensures optimization of cash through fund planning and virtual cash management practices.

a) Interest rate risk

Interest rate risk is the risk that the fair value of future cash flows of the financial instruments will fluctuate because of changes in market interest rates. In order to optimize the Company's position with regards to interest income and interest expenses and to manage the interest rate risk, the Company performs comprehensive corporate internal risk/risk management by balancing the proportion of fixed rate and floating rate financial instruments in the total portfolio.

For floating rate liabilities, the analysis is prepared assuming the amount of the liability outstanding at the end of the reporting period was outstanding for the whole year.

a) Exposure to interest rate risk

Particulars	As at March 31, 2025	As at March 31, 2024
Total borrowings	25497.05	22,800.58
Borrowings bearing variable rate of interest	24,797.27	22,800.58
% of Borrowings bearing variable rate of interest	98%	100%

b) Interest rate sensitivity

A change of 50 bps in interest rates would have following impact on profit before tax

	Year ended 31st March, 2025	Year ended 31st March, 2024
50 bps increase would decrease the profit before tax by	123.99	114.00
50 bps decrease would increase the profit before tax by	(123.99)	(114.00)

b) Market risk - Foreign Currency risk

The Company operates internationally and portion of the business is transacted in several currencies and consequently the Company is exposed to foreign exchange risk through its sales and services in currencies and purchases from overseas suppliers in various foreign currencies. Foreign currency exchange rate exposure is partly balanced by Forward Contracts, purchasing of goods, overseas travel and others in the respective currencies.

(a)Foreign Currency Exposure as at the reporting date

Particulars	As at March 31, 2025						
	USD (in Mn.)	In Rs	EUR (in Mn.)	In Rs	GBP (in Mn.)	In Rs	Total (in Rs.)
Trade Receivable	2.01	1,675.11	1.04	1,141.98	0.01	10.80	2,826.89
Offset by Derivatives / Foreign Exchange Forwards Contracts	(0.81)	(705.30)	(0.53)	(580.58)	-	-	(1,285.89)
Net Exposure (to the extent of outstanding balance)	1.19	969.77	0.51	561.39	0.01	10.80	1,541.00
Trade Payable	0.90	784.83	-	-	-	-	784.83
Offset by Derivatives / Foreign Exchange Forwards Contracts	-	-	-	-	-	-	-
Net Exposure (to the extent of outstanding balance)	0.90	784.83	-	-	-	-	784.83

(b)Foreign Currency Exposure as at the reporting date

Particulars	As at March 31, 2024						
	USD (in Mn.)	In Rs	EUR (in Mn.)	In Rs	GBP (in Mn.)	In Rs	Total (in Rs.)
Trade Receivable	2.74	2,287.08	1.37	1,124.63	-	-	3,411.72
Offset by Derivatives / Foreign Exchange Forwards Contracts	(1.53)	(1,276.18)	(0.83)	(679.97)	-	-	(1,956.15)
Net Exposure (to the extent of outstanding balance)	1.21	1,010.90	0.53	434.66	-	-	1,455.56
Trade Payable	1.19	997.53	-	-	-	-	997.53
Offset by Derivatives / Foreign Exchange Forwards Contracts	-	-	-	-	-	-	-
Net Exposure (to the extent of outstanding balance)	1.19	997.53	-	-	-	-	997.53

JK FILES & ENGINEERING LIMITED

Price Waterhouse Chartered Accountants LLP
LLPIN/AAC - 5001
Chartered Accountants
FRN 012754N/N500075
Mumbai

(k)Derivative outstanding as at the reporting date

(In Nos.)

Foreign currency	As at March 31, 2025		As at March 31, 2024	
	Sell	Buy	Sell	Buy
Forward Contracts USD	0.80	-	1.55	-
Forward Contracts EURO*	0.00	-	0.55	-

* The Company has taken forward contracts based on confirm future export sales orders.
Derivative financial instruments such as foreign exchange forward contracts are used for hedging purposes and not as trading or speculative instruments.

Foreign Currency Risk Sensitivity
A change of 5% in foreign currency would have following impact on profit before tax

	Year ended 31st March, 2025		Year ended 31st March, 2024	
	5% Increase	5% Decrease	5% Increase	5% Decrease
USD	35.45	(35.45)	8.37	(8.37)
EURO	14.91	(14.91)	28.63	(28.63)
(Increase)/ (Decrease) in Profit or loss	50.36	(50.36)	37.81	(37.81)

JK FILES & ENGINEERING LIMITED

Price Waterhouse Chartered Accountants LLP
LLPIN AAC - 5001
Chartered Accountants
FRN 012754N/N500016
Mumbai

B) Credit risk

Credit risk is the risk that a counterparty fails to discharge its obligation to the Company.

The Company is exposed to credit risk from its operating activities (primarily trade receivables), security deposit and from its investing activities, including deposits with banks. The company has a credit policy in place and the exposures to credit risk is monitored on an ongoing basis.

Cash and cash equivalents, investments and other bank balances

Credit risk related to cash and cash equivalents and investments is managed by ensuring highly rated banks and financial institutions. Investments primarily includes investment in mutual funds. These are not due and expected to [illegible] by these counterparties.

Loans and Other financial assets measured at amortized cost

Other financial assets measured at amortized cost include bank deposits, loans and other receivables. Credit risk related to assets other than loans are managed by monitoring the recoverability of such amounts continuously, taking into account the historical assessment factors in place necessary. Loan amounts are within defined limits. With respect to the loans, these are based on market interest rate, the expected credit loss is insignificant. Further, since the other amounts involved are not significant, the expected credit loss on these financial instruments is expected to be insignificant.

Trade and other receivables

The Company has used a practical expedient by computing the expected credit loss allowance for trade receivables based on a provision matrix. The provision matrix takes into account historical credit loss experience and adjusted for forward looking information. The expected credit loss allowance is based on the ageing of the days for which the receivables are due and the expected loss rates have been computed based on ageing.

i) Movement in allowances for expected credit losses on trade receivables

	As at March 31, 2025	As at March 31, 2024
As at beginning of the year	102.99	118.05
Add/(Less) - Changes in Loss Allowances	14.09	(15.06)
As at end of the year	117.08	102.99

Ageing	Expected credit loss %	
	As at March 31, 2025	As at March 31, 2024
Not Due	0%	0%
0-90 days	0%	0%
91-180 days	0%	0%
181-270 days	100%	100%
271-360 days	100%	100%
More than 360 days	100%	100%

ii) Movement in allowances for other receivables

	As at March 31, 2025	As at March 31, 2024
As at beginning of the year	95.12	95.12
Add/(Less) - Changes in Loss Allowances	-	-
As at end of the year	95.12	95.12

JK FILES & ENGINEERING LIMITED

Price Waterhouse Chartered Accountants LLP
LLPIN AAC - 9001
Chartered Accountants
FRN 012754N/N500016
Mumbai

Ageing	Expected credit loss %	
	As at March 31, 2025	As at March 31, 2024
Not Due	0%	0%
0-90 days	0%	0%
91-180 days	0%	0%
181-270 days	0%	0%
271-360 days	0%	0%
more than 360 days	100%	100%

C) Liquidity Risk

Liquidity risk is defined as the risk that the Company will not be able to settle or meet its obligations on time, or at a reasonable price. The Company's treasury department is responsible for liquidity, funding as well as settlement management. In addition processes and policies related to such risk are reviewed by senior management. Management monitors the Company's net liquidity position through rolling forecasts on the basis of expected cash flows.

(i) Financing arrangements
The Company had access to following undrawn borrowing facilities at end of reporting period:

	As at March 31, 2025	As at March 31, 2024
Variable Borrowing -Cash Credit expires within a year	5,356.00	4,448.56

The cash credit facilities may be drawn at any time and be terminated by bank with-at notice. Subject to satisfactory credit reviews, the bank loan facilities may be drawn at any time in INR.

Maturities of Financial liabilities

As at March 31, 2025				
On demand	Less than 1 year	1-5 years	More than 5 years	Total
Non-current borrowings (including interest accrued)	-	937.71	33,954.20	7,059.49	41,951.40
Current borrowings (including interest accrued)	805.20	5,144.00	-	-	5,949.20
Trade payable #	-	3,782.40	-	-	3,782.40
Lease liabilities	-	2,099.65	-	-	2,099.65
Deposits from dealers, agents etc.	-	370.44	1,641.20	733.10	2,744.74
Other financial liabilities (excluding Deposits from dealers, agents etc.)	241.43	90.00	-	-	331.43
Total	-	1,117.68	-	-	1,117.68
	1,046.63	13,541.88	35,595.40	7,792.59	57,976.50

As at March 31, 2024				
On demand	Less than 1 year	1-5 years	More than 5 years	Total
Non-current borrowings	-	-	29,469.00	8,460.00	37,929.00
Current borrowings (including interest accrued)	2,107.20	922.00	-	-	3,029.20
Trade payable #	-	3,470.41	-	-	3,470.41
Lease liabilities	-	1,421.41	-	-	1,421.41
Deposits from dealers, agents etc.	-	556.00	1,197.00	40.00	1,793.00
Other financial liabilities (excluding Deposits from dealers, agents etc.)	429.08	90.00	-	-	519.08
Total	-	107.00	-	-	107.00
	2,536.28	7,564.82	30,666.00	8,500.00	49,267.10

The amounts are payable over a period of 30-90 days as per the credit period with respective vendors





Note-40 Capital risk management

(a) The Company aims to manage its capital efficiently so as to safeguard its ability to continue as going concern and optimize return to shareholder

The capital structure of the Company is based on management judgement of the appropriate balance of key element in order to meet its strategic and day to day needs. The management considers the amount of capital in proportion to risk and manage the capital structure in light of changes in economic conditions and risk characteristics of the underlying asset. In order to maintain or adjust the capital structure, the Company may adjust the amount of dividends paid to shareholders, return capital to shareholders, or issue new shares.

The Company's policy is to maintain a stable and strong capital structure with focus on total equity so as to maintain stakeholder confidence and to sustain future development and growth of its business. The Company will take appropriate steps in order to maintain, or if necessary adjust, its capital structure. The Company's management monitors the return on capital as well as the level of dividends to shareholders.

The Company monitors the gearing ratio to evaluate debt leveraging and to ensure debts are maintained at the acceptable level.

The gearing ratio were as follows:

	As at March 31, 2025	As at March 31, 2024
Net Debt *	36,617.70	36,468.58
Total Equity	20,226.25	19,025.92
Net Debt to total equity	1.81	1.92

* Includes borrowings, lease liabilities, interest accrued thereon which is compensated by cash and deposits with bank pertaining to debentures.

(b) Dividend

The Company has not declared or paid the dividend for the current year and previous year.

Note 41: The Board of Directors of the Company have approved a Composite Scheme of Arrangement between the Company, Bing Plus Aqua Limited ("BPAL"), Maini Precision Products Limited ("MPPL"), JK Maini Precision Technology Limited and JK Maini Global Aerospace Limited ('the Scheme') under the provisions of Sections 230 to 232 read with Section 66 and other applicable provisions of the Companies Act, 2013 and the rules framed thereunder, subject to the requisite regulatory approvals. Considering the pending regulatory approvals, impact of the Scheme has not been taken in the financial statements.

Price Waterhouse Chartered Accountants LLP
LLPIN AAC - 5001
Chartered Accountants
FRN 012754N/N500016
Mumbai

JK FILES & ENGINEERING LIMITED

Note -42 **Related party disclosure as per Ind AS 24**

i. Name of the Related Parties :

Related parties where control exists, irrespective of whether transaction has occurred or not:

(a) **Holding Company**
Raymond Limited, India

(b) **Subsidiary Companies**
JK Talabot Limited, India
Ring Plus Aqua Limited, India
Scissors Engineering Products Limited , India
Maini Precision Products Limited, India

Other related parties with whom transactions have taken place during the year:

(c) **Fellow Subsidiary Companies**
JK Maini Precision Technology Limited (Formerly known as JKFIL Tools and Technologies Limited), India
JK Maini Global Aerospace Limited (Formerly known as Ray Global Consumer Enterprise Limited), India

(d) **Associate Companies of Holding Company**
PT. Jaykay Files Indonesia, Indonesia
PT. Jaykay International Indonesia, Indonesia

(e) **Entity over which director of the Company exercises significant influence**
Raymond Lifestyle Limited, India
Raymond (Europe) Limited, United Kingdom

Other related parties:

(f) **Key Management Personnel :**

Whole time Director	: Mr. Balasubramanian Vishwanathan
Independent Director	: Mr. Satish Sekhri
Independent Director	: Mr. Vijay Bhatt
Non Executive Director	: Mr. Gautambhai Singhania
Non Executive Director	: Mr. Ravikant Uppal
Non Executive Director	: Mrs.Rashmi Bijjgopal Murulada
Non Executive Director	: Mr. Ajay Mehta (w.e.f. January 20, 2025)

(g) **Trust**
JK Files (India) Limited – Employees Gratuity Scheme

Price Waterhouse Chartered Accountants LLP
LLPIN AAC - 5001
Chartered Accountants
FRN 012754N/N500016
Mumbai

JK FILES & ENGINEERING LIMITED

Note-9. Transactions carried out with related parties referred in 1 above for the year ended and as at March 31, 2025, in ordinary course of business:

Nature of transactions	Related Parties													
	Referred in 1(a) above		Referred in 1(b) above		Referred in 1(c) above		Referred in 1(d) above		Referred in 1(e) above		Referred in 1(f) above		Referred in 1(g) above	
	Year ended 31st March, 2025	Year ended 31st March, 2024	Year ended 31st March, 2025	Year ended 31st March, 2024	Year ended 31st March, 2025	Year ended 31st March, 2024	Year ended 31st March, 2025	Year ended 31st March, 2024	Year ended 31st March, 2025	Year ended 31st March, 2024	Year ended 31st March, 2025	Year ended 31st March, 2024	Year ended 31st March, 2025	Year ended 31st March, 2024
Purchases :														
Goods and Materials	-	-	4,975.91	2,572.17	-	-	-	-	-	-	-	-	-	-
Sales :														
Sale of products & services	-	-	803.87	733.08	-	-	-	-	-	-	-	-	-	-
Sale of property, plant and equipment	-	-	44.49	-	-	-	-	-	-	-	-	-	-	-
Expenses :														
Employee Benefits Expenses:														
Managerial remuneration	-	-	-	-	-	-	-	-	-	-	308.91	321.23	-	-
Other Expenses :														
Rent expenses	134.53	148.42	-	-	-	-	-	-	-	-	-	-	-	-
Facility Charges	435.00	446.87	-	-	-	-	-	-	-	-	-	-	-	-
Directors sitting fees & commission	-	-	-	-	-	-	-	-	-	-	30.00	21.50	-	-
Rates & Taxes	-	-	13.53	-	-	-	-	-	-	-	22.39	22.00	-	-
Legal and Professional expenses	-	-	-	-	-	-	-	-	-	-	-	-	-	-
Finance Cost :														
Other borrowing costs	-	-	15.00	1.34	-	-	-	-	-	-	-	-	-	-
Interest expense on non-current borrowings	4,441.31	115.37	-	-	-	-	-	-	-	-	-	-	-	-
Reimbursement of Expenses														
Electricity charges	15.84	71.34	-	-	-	-	-	-	-	-	-	-	-	-
Legal and Professional Expenses	74.37	74.71	10.18	-	-	-	-	-	5.75	-	-	-	-	-
Insurance	-	-	-	-	-	-	-	-	8.27	-	-	-	-	-
Software expenses	-	-	-	-	-	-	-	-	12.73	-	-	-	-	-
IT Outsourced expenses	-	-	-	-	-	-	-	-	33.11	-	-	-	-	-
Miscellaneous expenses	8.13	100.86	-	1.84	-	-	-	-	16.81	-	-	-	-	-
									171.17	-	-	-	-	-
Contribution to Employees Gratuity fund	-	-	-	-	-	-	-	-	-	-	-	-	10.45	12.20
Other Receipts :														
Cost of shared manpower	-	-	318.00	643.37	-	-	-	-	-	-	-	-	-	-
Reimbursement of expenses	1,111.84	1,184.20	80.37	0.16	-	-	-	-	-	-	-	-	-	-
Financial assets:														
Loans	-	-	8,500.00	40,000.00	-	-	-	-	-	-	-	-	-	-
Other income:														
Interest income	-	-	3,856.19	218.24	-	-	-	-	-	-	-	-	-	-
Non-current borrowings														
Loan	2,500.00	10,500.00	-	-	-	-	-	-	-	-	-	-	-	-
Subscription of Preference Shares (NCRPS)	-	5,000.00	-	-	-	-	-	-	-	-	-	-	-	-





Note--2. Outstanding balances receivable / payable in cash, with related parties referred in 1 above for the year ended and as at March 31, 2025, in ordinary course of business:

Nature of transactions	Related Parties											
	Referred in 1(a) above		Referred in 1(b) above		Referred in 1(c) above		Referred in 1(d) above		Referred in 1(e) above		Referred in 1(f) above	
	As at March 31, 2025	As at 31st March, 2024	As at March 31, 2025	As at 31st March, 2024	As at March 31, 2025	As at 31st March, 2024	As at March 31, 2025	As at 31st March, 2024	As at March 31, 2025	As at 31st March, 2024	As at March 31, 2025	As at 31st March, 2024
Outstandings :												
Trade Payable	-	-	681.63	602.86	-	-	-	-	103.34	16.35	16.00	16.00
Trade Receivable *	-	-	2.92	-	-	-	13.93	13.93	-	-	-	-
Other Financial Assets (Current)*												
Receivable from related party	73.72	227.10	179.53	28.74	3.14	-	50.12	50.12	-	-	-	-
Loans (Non-current)#	-	-	41,600.00	40,100.00	-	-	-	-	-	-	-	-
Other Financial Assets (Non Current)												
Interest accrued but not due	-	-	877.74	-	-	-	-	-	-	-	-	-
Borrowings (Non Current):												
Loans	25,000.00	32,500.00	-	-	-	-	-	-	-	-	-	-
Liability component of compound financial instrument ##	829.91	764.04	-	-	-	-	-	-	-	-	-	-
Other financial liabilities (Non-current)												
Interest accrued but not due	3.68	-	-	-	-	-	-	-	-	-	-	-

* Trade receivable and receivable from related party referred to in 1(d) above from PT JayKay Files and PT JayKay International, Indonesia has been fully provided.
The Loan has been utilized for meeting their funding requirement for the purpose of investment.
The total amount of Preference Shares is Rs 5,000.00 lakhs, out of which the equity component of Rs 3,171.38 lakhs has been presented under other equity net of deferred tax.

JK FILES & ENGINEERING LIMITED

Price Waterhouse Chartered Accountants LLP
LLPIN AAC - 5001
Chartered Accountants
FRN 012754N/N500016
Mumbai

Note–3. Transactions carried out with related parties referred in 1 above for the year ended and as at March 31, 2025, in ordinary course of business :

Disclosure in respect of material transactions with related parties during the year	Year ended 31st March, 2025	Year ended 31st March, 2024
Purchases :		
Goods and Materials		
J K Talabot Limited	2,979.01	2,372.17
Sales :		
Sale of products & services		
J K Talabot Limited	793.87	736.69
Ring Plus Aqua Limited	4.57	2.46
Mahi Precision Products Limited	5.43	-
Sale of property plant and equipment		
J K Talabot Limited	44.42	-
Expenses :		
Employee Benefits Expenses:		
Short term employee benefits		
Mr. Balasubramanian Viswanathan	297.44	611.94
Post employment benefits		
Mr. Balasubramanian Viswanathan	10.97	9.31
Other Expenses :		
Rent expenses		
Raymond Limited	(84.54)	145.42
Facility Charges		
Raymond Limited	(128.00)	440.07
Director sitting fees & commission		
Director sitting fees		
Mrs. Rashmi Mandada Brijgopal	3.00	3.00
Mr. Ravikant Uppal	2.00	2.50
Mr. Gautam Hari Singhania	-	0.50
Mr. Satish Sekhri	5.00	5.50
Mr. Vijay Bhatt	5.00	5.00
Mr. Ajoy Mehta	1.00	-
Director commission		
Mrs. Rashmi Mandada Brijgopal	3.30	2.00
Mr. Ravikant Uppal	3.30	2.00
Mr. Gautam Hari Singhania	3.30	2.00
Mr. Satish Sekhri	3.30	2.00
Mr. Vijay Bhatt	3.30	2.00
Mr. Ajoy Mehta	0.50	-
Rates & Taxes		
J K Talabot Limited	13.33	-
Legal and Professional Expenses		
Mr. Ravikant Uppal	22.00	12.00
Reimbursement of Expenses:		
Electricity charges		
Raymond Limited	86.84	71.34
Raymond Lifestyle Limited	5.85	-
Legal and Professional Expenses		
Raymond Limited	74.37	78.75
Raymond Lifestyle Limited	16.17	-
Ring Plus Aqua Limited	22.25	-

Price Waterhouse Chartered Accountants LLP
LLPIN AAC - 5201
Chartered Accountants
FRN 012754N/N500016
Pune * Mumbai

JK FILES & ENGINEERING LIMITED

Note–3. Transactions carried out with related parties referred in 1 above for the year ended and as at March 31, 2025, in ordinary course of business :

Disclosure in respect of material transactions with related parties during the year	Year ended 31st March, 2025	Year ended 31st March, 2024
Insurance		
Raymond Lifestyle Limited	42.79	-
Software expenses		
Raymond Lifestyle Limited (including prepaid expenses of Rs 26.93 Lakhs)	56.86	-
IT Outsourced expenses		
Raymond Lifestyle Limited	14.21	-
Miscellaneous expenses		
Raymond Limited	8.13	100.86
Raymond Lifestyle Limited	103.47	-
Ring Plus Aqua Limited	-	1.84
Finance cost:		
Other borrowing costs		
J K Talabot Limited	35.02	1.24
Interest expense on non current borrowings		
Raymond Limited	2,221.51	115.37
Employees Gratuity fund	16.45	62.20
Other Receipts :		
Cost of shared manpower		
Ring Plus Aqua Limited	150.00	623.57
Maini Precision Products Limited	66.00	-
Reimbursement of expenses		
Raymond Limited	1,111.84	1,184.39
Ring Plus Aqua Limited	35.44	3.85
Maini Precision Products Limited	45.13	-
Financial assets (Non-current)		
Loans		
Ring Plus Aqua Limited.	2,500.00	40,100.00
Other income:		
Interest income on loan given		
Ring Plus Aqua Limited	3,056.19	118.24
Non-current borrowings		
Loan from a related party		
Raymond Limited	2,300.00	22,500.00
Subscription of Preference Shares (NCRPS)		
Raymond Limited	-	3,000.00

The amount in respect of gratuity and compensated absences is not disclosed as the same is not determinable for the key managerial person severally.

Price Waterhouse Chartered Accountants LLP
LLPIN AAC - 5001
Chartered Accountants
FRN 012754N/N500016
Mumbai

JK FILES & ENGINEERING LIMITED

Outstandings :	As at March 31, 2025	As at March 31, 2024
Trade Payable		
J K Talabot Limited	681.63	602.86
Raymond Europe Limited	16.15	16.15
Raymond Lifestyle Limited	93.19	-
Mrs. Rashmi Mundada Brijgopal	3.10	2.00
Mr. Ravikant Uppal	3.10	2.00
Mr. Gautam Hari Singhania	3.10	2.00
Mr. Satish Sekhri	3.10	2.00
Mr. Vijay Bhatt	3.10	2.00
Mr. Ajay Mehta	0.50	-
Trade Receivable		
P T Jaykay International Indonesia*	13.93	13.93
Maini Precision Products Limited	2.62	-
Other Financial Assets (Non Current) - Interest Accrued but not due		
Ring Plus Aqua Limited	677.74	-
Non-current financial assets (Loans)		
Ring Plus Aqua Limited	42,600.00	46,300.00
Other Financial Assets (Current) - Receivable from related party		
Ring Plus Aqua Limited	92.39	28.74
P T Jaykay Files Indonesia*	50.12	50.12
Raymond Limited	53.72	227.10
Maini Precision Products Limited	87.39	-
JK Maini Precision Technology Limited	1.67	-
JK Maini Global Aerospace Limited	1.57	-
Non-current borrowings - Loan		
Raymond Limited	25,000.00	22,500.00
Non-current borrowings - Liability component of compound financial instrument		
Raymond Limited	839.91	764.64
Other Financial Liabilities (Non Current) - Interest accrued but not due		
Raymond Limited	3.68	-

* The total receivable from PT JayKay Files and PT JayKay International, Indonesia has been provided.

Particulars	As at March 31, 2025	As at March 31, 2024
Trade Receivables		
P T Jaykay International Indonesia	13.93	13.93
Other Financial Assets		
P T Jaykay Files Indonesia	50.12	50.12

Notes:

i. Transactions were done in ordinary course of business and on normal terms and conditions.

ii. The Company has during the year, paid advance tax amounting to Rs. 75.00 lakhs in the name of JK Maini Precision Technology Limited (Formerly known as JKFIL Tools and Technologies Limited), considering the proposed merger having the appointed date of April 01, 2024.





JK Files & Engineering Limited
CIN: U27104MH1997PLC105955
Notes to the Standalone financial statements for the year ended 31st March, 2025
(All amounts are in Rs.lakhs, unless stated otherwise)

Note 43 :- Disclosures in relation to corporate social responsibility expenditure

Particulars	Year ended 31st March, 2025	Year ended 31st March, 2024
Contribution towards animal welfare	-	50.00
Contribution towards promoting education	66.00	20.00
Contribution towards reducing inequalities faced by socially and economically backward groups	7.00	7.50
Contribution towart promoting healthcare	5.00	0.50
Contribution for women empowerment, girl education and child development	-	20.00
Contribution towards setting up homes and hostels for orphans	5.00	-
Contribution towards eradicating hunger	2.00	-
Accrual towards unspent obligations in relation to:		
Ongoing project	-	-
Other than ongoing projects	85.00	98.00
Total	**85.00**	**98.00**
Amount required to be spent as per Section 135 of the Act	**85.00**	**98.00**
Amount spent during the year on		
(i) Construction/acquisition of an asset	-	-
(ii) On purposes other than (i) above	85.00	98.00

Details of CSR expenditure under Section 135(5) of the Act in respect of other than ongoing projects

	Balance as at beginning of the year	Amount deposited in Specified Fund of Schedule VII of the Act within 6 months	Amount required to be spent during the year	Amount spent during the year	Balance unspent as at end of the year
For the year ended 31st March, 2025	-	-	85.00	85.00	-
For the year ended 31st March, 2024	-	-	98.00	98.00	-

JK FILES & ENGINEERING LIMITED

Price Waterhouse Chartered Accountants LLP
LLPIN AAC - 5001
Chartered Accountants
FRN 012754N/N500016
Mumbai

JK Files & Engineering Limited
CIN: U27104MH1997PLC105955
Notes to the Standalone financial statements for the year ended 31st March, 2025
(All amounts are in Rs. lakhs, unless stated otherwise)

Note 44: Segment Information

In accordance with Accounting Standard Ind AS 108 'Operating Segment', segment information has been given in the consolidated financial statements of JK Files & Engineering Limited, and therefore, no separate disclosure on segment information is given in these standalone financial statements.

Note 45: Analytical Ratios

Sr No.	Ratio	Numerator	Denominator	Unit of measurement	March 2025	March 2024	Variance
(a)	Current Ratio	Current Assets	Current Liabilities	in times	1.27	1.29	-1.81%
(b)	Debt-Equity Ratio	Total Debt	Shareholders' Equity	in times	1.83	1.91	-4.73%
(c)	Debt Service Coverage Ratio	Earning for Debt Service	Debt Service	in times	1.22	1.37	-10.82%
(d)	Return on Equity Ratio	Net Profits after taxes-Preference Dividend	Average shareholder's Equity	in percentages	0.24%	-2.27%	-375.39%
(e)	Inventory Turnover Ratio	Cost of Goods Sold	Average Inventory	in times	4.16	4.26	-0.98%
(f)	Trade Receivable Turnover Ratio	Net Sales excluding export incentive	Average Trade Receivable	in times	7.66	8.24	-7.11%
(g)	Trade Payable Ratio	Net Purchases	Average Trade Payables	in times	6.35	6.93	-5.51%
(h)	Net Capital turnover Ratio	Net sales	Average Working Capital	in times	13.25	12.44	6.51%
(i)	Net Profit Ratio	Net Profit / (Loss) after tax	Net sales	in percentages	2.84%	-0.92%	-409.18%
(j)	Return on Capital Employed	Earning before interest and taxes	Capital Employed	in percentages	9.40%	0.18%	5261.86%
(k)	Return on investment	Earning before interest and taxes	Closing total assets	in percentages	7.88%	0.15%	5151.19%





JK Files & Engineering Limited
CIN: U27104MH1997PLC105955
Notes to the Standalone financial statements for the year ended 31st March, 2025
(All amounts are in Rs. lakhs, unless stated otherwise)

Reasons for variance of more than 25% in above ratios :

Sr No.	Ratio	Reasons for the Variances
(a)	Return on Equity Ratio	Variation is due to increase in profits during the current year.
(b)	Net Profit Ratio	Variation is due to increase in profits during the current year.
(c)	Return on Capital Employed	Variation is due to increase in profit before interest and tax during the current year.
(d)	Return on investment	Variation is due to increase in profit before interest and tax during the current year.





Note 46: Additional and other regulatory information required by Schedule III

(i) Details of benami property held
No proceedings have been initiated or are pending against the Company for holding benami property under the Benami Transactions (Prohibition) Act, 1988 (45 of 1988) and Rules made thereunder.

(ii) Valuation of Property, Plant & Equipment and Intangible asset
The Company has not revalued its property, plant and equipment (including right-of-use assets) or intangible assets or both.

(iii) Wilful Defaulter
The Company has not been declared wilful defaulter by any bank or financial institution or government or any government authority.

(iv) Relationship with struck off companies
The Company has no transactions with the companies struck off under Companies Act, 2013 or Companies Act, 1956.

(v) Compliance with number of layers of companies
The Company has complied with the number of layers prescribed under the Companies Act, 2013.

(vi) Compliance with approved scheme(s) of arrangements
The Company has entered into a scheme of arrangement which has not been approved by the competent authority in terms of sections 230 to 237 of the Companies Act, 2013.

(vii) (A) Utilisation of borrowed funds and share premium
A. As at and for the year ended March 31, 2023
The Company has not advanced or loaned or invested funds to any other person(s) or entity(ies), including foreign entities (Intermediaries) with the understanding that the Intermediary shall:
a. directly or indirectly lend or invest in other persons or entities identified in any manner whatsoever by or on behalf of the Company (Ultimate Beneficiaries) or
b. provide any guarantee, security or the like to or on behalf of the Ultimate Beneficiaries.

The Company has not received any fund from any person(s) or entity(ies), including foreign entities ("Funding Party") with the understanding (whether recorded in writing or otherwise) that the Company shall:
a. directly or indirectly, lend or invest in other persons or entities identified in any manner whatsoever by or on behalf of the Funding Party (Ultimate Beneficiaries) or
b. provide any guarantee, security or the like on behalf of the Ultimate Beneficiaries
except as mentioned below:

Name of the Funding party	Amount of funding received	Date of loan given to intermediary / Date of amount further invested in beneficiary	Name of ultimate beneficiary	Amount further invested by intermediary in ultimate beneficiary	Date of loan given to ultimate beneficiary
Raymond Limited, India	1,500.00	March 28, 2023	Bing Plus Agni Limited, India	1,500.00	March 28, 2023

B. As at and for the year ended March 31, 2023

The Company has not advanced or loaned or invested funds to any other person(s) or entity(ies), including foreign entities (Intermediaries) with the understanding that the Intermediary shall:
a. directly or indirectly, lend or invest in other persons or entities identified in any manner whatsoever by or on behalf of the Company (Ultimate Beneficiaries) or
b. provide any guarantee, security or the like to or on behalf of the Ultimate Beneficiaries
except as mentioned below:

Name of the Intermediary	Amount of loan given	Date of loan given to intermediary / Date of amount further invested in beneficiary	Name of ultimate beneficiary	Amount further invested by intermediary in ultimate beneficiary
Bing Plus Agni Limited, India	1,500.00	Various dates during the financial year 2023-24	Shareholders of Mukat Petroleum Products Limited, India	1,500.00

The Company has not received any fund from any person(s) or entity(ies), including foreign entities (Funding Party) with the understanding (whether recorded in writing or otherwise) that the Company shall:
a. directly or indirectly, lend or invest in other persons or entities identified in any manner whatsoever by or on behalf of the Funding Party (Ultimate Beneficiaries) or
b. provide any guarantee, security or the like on behalf of the Ultimate Beneficiaries,
except as mentioned below:

Name of the Funding party	Amount of fund received	Date of loan received	Name of the intermediary	Amount of loan given (Refer Note 46(vii)(B))	Date of loan given to intermediary / Date of amount further invested in beneficiary	Name of ultimate beneficiary	Amount further invested by intermediary in ultimate beneficiary
Raymond Limited, India	27,500.00	Various dates during the financial year 2023-24	Bing Plus Agni Limited, India	27,500.00	Various dates during the financial year 2023-24	Shareholders of Mukat Petroleum Products Limited, India	27,500.00
Ads Diecast Limited, India	10,000.00	March 07, 2024	Bing Plus Agni Limited, India	10,000.00	Various dates during the financial year 2023-24	Shareholders of Mukat Petroleum Products Limited, India	10,000.00

Note: The Company has provided the loans to Bing Plus Agni Limited (a subsidiary company) for the purpose of acquisition of 51.15% stake in Mukat Petroleum Products Limited.

(viii) Undisclosed Income
There is no income surrendered or disclosed as income during the current or previous year in the tax assessments under Income Tax Act, 1961, that has not been recorded in the books of account.

(ix) Details of Crypto currency or virtual currency
The Company has not traded or invested in crypto currency or virtual currency during the current or previous year.

Price Waterhouse Chartered Accountants LLP
LLPIN AAC - 5091
Chartered Accountants
FRN 012754N/N500016
Mumbai

JK FILES & ENGINEERING LIMITED

JK Files & Engineering Limited
CIN: U27104MH1997PLC105955
Notes to the Standalone financial statements for the year ended 31st March, 2025
(All amounts are in Rs. lakhs, unless stated otherwise)

Note 47: Exceptional Items

Particulars	Year ended 31st March, 2025	Year ended 31st March, 2024 (Refer note below)
(i) Voluntary Retirement Compensation	-	1,864.53
(ii) Restructuring expenses (related to plant closure)	-	148.64
Exceptional Items (net) (i+ii)	-	2,013.17

During the pervious period, the Company had closed operations in its plant situated at Ratnagiri, whereby:

a) Voluntary Retirement Scheme ("VRS") was offered to its employees at the plant. The schemes were operative between May 03, 2023 to May 10, 2023 and September 01, 2023 to September 07, 2023. Pursuant to which, compensation to its employees amounting to Rs. 1,864.53 lakhs were incurred and paid.

b) Restructring expenses (Other expenditure directly related to VRS and plant closure), aggregating to Rs. 148.64 lakhs were incurred.

As per our attached report of even date

For Price Waterhouse Chartered Accountants
Firm Registration No. 012754N/N500016

Arunkumar Ramdas
Partner
Membership No.: 112433

Mumbai
7th May, 2025

For and on behalf of Board of Directors

Balasubramanian V.
Director
DIN: 05222476

Rashmi Mundada
Director
DIN: 08086902

Arun Agarwal
Chief Financial Officer

Hiren Sonawala
Company Secretary

Mumbai
7th May, 2025